



The communicative value of key audit matters in M&As: The effect of performance commitments

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ABSTRACT

Previous research suggests that including performance commitment contracts (PCs) in mergers and acquisitions (M&As) increases the post-acquisition risk of goodwill impairment. Using a sample of Chinese companies from 2017 to 2022, we find that M&As with PCs not only lead auditors to be more likely to disclose M&A-related key audit matters (KAMs) in audit reports but also result in these disclosures being less boilerplate. Moreover, KAMs related to M&As with PCs are more informative, as evidenced by higher cumulative absolute abnormal returns, greater abnormal trading volume, and lower share price synchronisation. Our findings further indicate that the negative relationship between PCs and the disclosure of boilerplate M&A-related KAMs is particularly pronounced when auditors face higher accountability risks or when they are more prudent or prioritise their professional reputations. Additionally, M&A-related KAMs with more detailed information attract greater attention from analysts and institutional investors. Overall, our results suggest that auditors, driven by professional diligence, enhance the communicative value of KAMs by disclosing non-boilerplate information, thereby facilitating the effective transmission of risk information in the capital market.

1. Introduction

Traditional audit reports have been criticised for lacking of firm-specific information, offering limited communicative value beyond a simple ‘black or white’ opinion on financial statements (Church et al., 2008; Gray et al., 2011). As a supposed informative supplement to the audit report, key audit matters (KAMs) were first implemented by IAASB in 2015 as “those matters that, in the auditor’s professional judgement, are of most significance in the audit of the financial statements.” Since then, KAMs have been adopted worldwide,¹ raising the question of whether KAMs effectively communicate useful information to their intended users.

The literature has examined the informativeness of KAMs by analysing market reactions to expanded audit reports, but the evidence regarding their usefulness remains mixed (Bédard et al., 2019; Burke et al., 2023; Goh et al., 2024; Gutierrez et al., 2018;

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¹ KAMs are referred to by different names in various countries. In the UK, the Financial Reporting Council (FRC) termed them as risks of material misstatements (RMMs) before 2016, and the FRC considers RMMs to be equivalent to KAMs (Abdelfattah et al., 2021). Moreover, FASB uses the term critical auditing matters (CAMs) interchangeably with KAMs, as they share a similar essence.

Seebeck and Kaya, 2023). The lack of informative KAMs may result from their failure to convey new material information to the market (Lennox et al., 2023), the use of boilerplate language² that obscures specific details (Brasel et al., 2016; Kachelmeier et al., 2020), or a combination of both. Therefore, it is essential to assess the informativeness of KAMs from both market reactions and the content and form of KAMs, an approach that has been largely overlooked in previous studies.

This paper examines whether the content and format of KAMs effectively disclose risks associated with specific economic activities and how the market responds to such disclosures. We focus on performance commitment contracts (PCs) as a risk indicator commonly observed in mergers and acquisitions (M&As) within the Chinese market and explore their impact on the communicative value of KAMs. Three contextual factors frame our study. First, unlike common KAMs, such as revenue recognition, financial instrument measurement, and inventory measurement, M&As involve non-recurring and high-risk elements for the acquirer, drawing considerable attention from auditors and the market. Second, including a PC is intended to reduce information asymmetry in M&A valuations, with the market generally reacting positively to M&As accompanied by PCs. However, anecdotal evidence³ and existing literature suggest that PCs can signal a risk of overpayment, which the market may fail to identify, potentially leading to goodwill impairment in subsequent years (Kravet, 2014; Zeng et al., 2022), deterioration in financial reporting quality (Barth et al., 2001), or even legal disputes. By examining the presence or absence of PCs in M&As, we explore how the varying levels of risk embedded in M&A activities are disclosed through KAMs.⁴ Third, as an emerging capital market, the Chinese market exhibits higher information asymmetry than mature markets. Consequently, market participants are more likely to rely on disclosures based on the auditors' professional judgment, making KAM disclosures potentially more valuable in this context compared to mature markets.

Using a sample of Chinese firms from 2017 to 2022, we find that KAMs are of communicative value. The empirical results reveal that M&As with PCs are more likely to lead auditors to disclose M&A-related KAMs compared to those without PCs. Additionally, both the number of M&A-related KAMs and their proportion to the total number of KAMs increase when the acquirer implements PCs. These findings suggest that KAMs vary in accordance with the firm's fundamental M&A activities. Furthermore, KAMs for M&As with PCs provide more valuable and non-boilerplate information to investors. This information is more specific and less similar to M&A-related KAMs disclosed by other firms in the current year or by the same firm in years *t-1* and *t-2*. We also prove that investors react more strongly to KAMs for M&As with PCs than those without. Specifically, these KAMs lead to higher cumulative absolute abnormal returns, increased abnormal trading volume, and lower stock price synchronisation. These results remain robust after addressing potential endogeneity and conducting a series of robustness tests. Further analyses show that the relationship between PCs and non-boilerplate M&A-related KAMs is particularly pronounced in affiliated M&As, acquirers with high litigation risk, Big 4, and signatory teams with female auditors. Moreover, non-boilerplate M&A-related KAMs attract more analyst coverage and increase institutional investors' shareholdings, further supporting the communicative value of KAMs.

This study makes two contributions to the existing literature. First, we demonstrate the communicative value of KAMs by considering both the attributes of the underlying economic activity and the reactions of the intended users. Most previous studies have treated KAMs as a given variable, evaluating their usefulness primarily from a market response perspective (Burke et al., 2023; Goh et al., 2024; Lennox et al., 2023; Reid et al., 2019; Seebeck and Kaya, 2023). However, the conclusions of these studies remain inconsistent. In contrast, our study investigates whether auditors use KAMs to communicate risk information, using PCs in M&A activities as a proxy for potential risk factors related to financial report quality. Furthermore, we document the positive market reaction to M&A-related KAMs for M&As with PCs, suggesting that auditors provide incremental information to external investors through KAM disclosures. Overall, our findings validate that KAMs have communication value and improve the efficiency of China's capital market. Second, our study contributes to the textual analysis of KAMs. The PCAOB survey reports that investors recommend auditors use more specific and less generic language in KAM disclosures (PCAOB, 2022). However, most existing studies have focused on KAM length (Duboisée de Riquebourg and Maroun, 2023; Zhou, 2019), readability (Velte, 2020), and tone (Abdelfattah et al., 2021; Kend and Nguyen, 2022). Our study responds to the call by Bédard et al. (2016) and Seebeck and Kaya (2023) to apply natural language analysis methods to assess the extent of boilerplate language in KAMs empirically. We show that fundamental business factors, such as the presence of PCs in M&As, influence the content of KAM disclosures. This contribution fills a gap in the literature on textual studies of KAMs. By presenting evidence from the Chinese market regarding the communication of KAMs in audit reports, we add empirical insights to the international discourse on the usefulness of KAMs.

The following section outlines the institutional background. Section 3 reviews the literature and develops our hypotheses. Section 4 presents the research methods. The regression results and robustness tests are presented in Section 5. In Section 6, we conduct further analysis. Section 7 presents our discussion and conclusions.

² The PCAOB notes that certain investors desire auditors to employ more precise language, rather than generic, to communicate KAMs (PCAOB, 2022).

³ According to anecdotal evidence, PCs pose risks for the acquirer. For example, a case highlighted in the article 'Performance Betting: Buyer's Poison in M&A Transactions?' published in *Board of Directors* No. 8, 2019, involved *Dongfang Precision*, a listed company. In May 2019, *Dongfang Precision* announced that they initiated arbitration proceedings against the previous owner of the acquired *Pryde Company*. This was due to *Pryde's* failure to meet the performance targets outlined in the PC, and the original owner's failure to provide any form of compensation. The article emphasised that the significant disparity between the actual and promised performance of the acquired companies rendered the PC unreliable and detrimental to the acquiring party.

⁴ Appendix B illustrates the contrasting content and format by listing the M&A-related KAMs disclosed for *HuaLian Hypermarket*, an M&A without a PC, and *GuangZhou Baiyun Electric Equipment*, an M&A with a PC.

2. Institutional background

In 2016, the Chinese Institute of Certified Public Accountants (CICPA) issued the China Standards on Auditing No. 1504 (CSA 1504): *Communicate Key Audit Matters in the Auditor's Report* to enhance the informational content of audit reports and align with international audit practice. The standard mandates that cross-listed companies in Mainland China and Hong Kong report KAMs from 1 January 2017, while all other listed companies in Mainland China must report KAMs from 1 January 2018 onwards. CSA 1504 does not prescribe the specific types or content of KAMs; instead, it requires auditors to identify them based on matters discussed with governance (MFPRC, 2016). In identifying KAMs, auditors should consider (1) areas with a high risk of material misstatement or special risks identified, (2) significant audit judgements in areas involving substantial management judgement (including accounting estimates with high estimation uncertainty), and (3) significant events or transactions occurring during the period (MFPRC, 2016). Although the criteria for determining KAMs in CSA 1504 align with those in ISA 701, the number, type, and level of detail of KAMs may vary across jurisdictions due to differences in regulatory, legal, and market environments (Minutti-Meza, 2021). In this study, we categorise KAMs into 12 main themes based on the audit reports of all A-share listed companies in China from 2017 to 2022, with the number of KAMs in each category provided in Appendix C.

As shown in Table A of Appendix C, there are 6,041 KAMs associated with M&A, making it the third most prominent category of KAMs. Unlike the first two economic events, M&A transactions exhibit a standardised and identifiable risk factor that applies across different industries. Additionally, the nature of M&A transactions aligns with the three conditions required for determining KAMs. First, M&A represents a critical and complex investment decision for firms as it expands their business scope. Second, M&As can significantly influence future performance, thereby heightening the associated risk for auditors. Third, the recognised value of goodwill arising from M&A involves high estimation uncertainty and potential future impairment risk. The CICPA has consistently emphasised the need for auditors to focus on audit risks related to M&A areas, such as business combinations, performance commitments, and goodwill impairment.⁵ In China, the introduction of PCs in M&As has further accentuated these audit risks. In 2008, the China Securities Regulatory Commission (CSRC) introduced PC into the Chinese M&A market through the issuance of *Administrative Measures on Major Assets Reorganisation of Listed Companies*. PCs are agreements between the acquirer and the acquiree that outline the expected near-term financial performance of the target firm, typically over the next three years. If the agreed-upon performance targets are not met, the acquiree must compensate the acquirer either in cash or equity (Song et al., 2019; Tao et al., 2022; Wu et al., 2023; Zeng et al., 2022). PCs share similarities with the earnout mechanism commonly applied in equity acquisitions in the US and other countries (Song et al., 2019; Tao et al., 2022). Both mechanisms provide conditional valuation adjustment between the parties, though they differ in the specific details. Under the PC mechanism, the transaction price is predetermined and fully paid on the equity closing date. Thus, PCs represent an ex-ante payment and ex-post compensation model, whereas the earnout mechanism involves a fixed advance and a contingent consideration (Luo and Zhou, 2025). The latter is subject to mutually agreed-upon earnout measures within a specified period after the equity closing, embodying an ex-ante agreement and ex-post payment model (Cain et al., 2011). Therefore, earnouts enable the acquirer to manage the risk of overpayment through contingent payment, while PCs allow the seller to receive full payment upfront. However, the risk of overpayment is higher with PCs, as the acquirer may encounter significant challenges in securing timely and full compensation if the agreed-upon performance targets are not met.

The Chinese M&A market offers a unique context for examining whether auditors effectively communicate risk information through KAMs in response to high-risk transactions. First, as a developing emerging economy, the Chinese market exhibits higher levels of information asymmetry compared to mature capital markets (Chen et al., 2018). Gutierrez et al. (2018) indicate that the usefulness of extended audit reports is diminished in environments with high-quality disclosures and rich information. In other words, the role of KAMs in conveying risk information is more effective in a context of information asymmetry. By using data from China, we can identify the advantages of KAMs, which may be harder to detect in more mature capital markets such as those in the US, UK, and Australia. Second, unlike the other economic issues outlined in Appendix C, M&A activities offer a distinct context for assessing the usefulness of KAMs. The presence or absence of PCs introduces varying levels of risk into M&A transactions, creating a setting to assess the auditors' ability to communicate risk information under the new standard. Therefore, this study specifically focuses on M&A transactions to investigate whether auditors employ KAMs to convey risk information, in line with calls to examine KAMs in specific domains for more meaningful insights (Andreicovici et al., 2020; Minutti-Meza, 2021).

3. Literature review and hypotheses development

3.1. Literature review

The literature on whether KAMs have communicative value and are informative is controversial. Some studies show that extended audit reports fail to communicate incremental information to users. Gutierrez et al. (2018) indicate that capital market investors' behaviour did not change significantly after the UK-mandated disclosure of KAMs by listed companies. Studies from other developed economies report similar results (Al-mulla and Bradbury, 2022; Bédard et al., 2019; Burke et al., 2023). Additionally, using Chinese data, Liao et al. (2022) also find no evidence that KAMs are significantly associated with abnormal returns, abnormal trading volume,

⁵ For further details, please refer to the following links: https://www.cicpa.org.cn/xxfb/news/201912/t20191231_5228.html, https://www.cicpa.org.cn/xxcx/annual_audit/202101/t20210111_62411.html, https://www.cicpa.org.cn/xxfb/tzgg/202112/t20211230_63309.html, and https://www.cicpa.org.cn/xxfb/tzgg/202212/t20221229_63892.html.

or audit quality. [Lennox et al. \(2023\)](#) suggest that the risk information in KAMs is already informed to investors from other documents disclosed by management or audit committees in the UK, thus lacking in communicative value. However, other researchers argue that KAMs convey additional information to the audit report recipients. [Goh et al. \(2024\)](#) investigate listed companies in mainland China and reveal that the disclosure of KAMs is associated with higher abnormal trading volume, higher earnings response coefficients, and lower stock price synchronization. [Zhai et al. \(2021\)](#) further demonstrate that KAMs reduce stock price synchronization because they provide incremental information and reduce stakeholders' information acquisition costs. Using US data, [Li and Luo \(2023\)](#) show that the presence of a single KAM provides incremental information to investors and does not significantly increase audit fees compared to audit reports without KAM disclosure. For non-specialist investors, audit reports with KAMs have higher communicative value ([Moroney et al., 2021](#)). Additionally, the informativeness of KAMs is demonstrated as they can provide more information to external investors to reduce insider trading profitability ([Liu et al., 2023](#)), reduce information asymmetry between firms and creditors to mitigate the overestimation risk of creditors ([Liu et al., 2022](#)), and provide analysts with an essential channel to access information to decrease their firm visits ([Kong et al., 2022](#)). The KAM disclosure helps alert report users to the misstatement risk of relevant matters ([Kachelmeier et al., 2020](#)). Utilizing eye-tracking technology, [Sirois et al. \(2018\)](#) confirm that KAMs enable report users to focus on more relevant disclosures, which reduces the cost of information acquisition and improves the efficiency of information acquisition. Moreover, research using Thailand setting reveals that M&A-related KAMs have a higher reference value than the most common types of disclosed KAMs ([Kitiwong and Sarapaivanich, 2020](#)). [Nylen et al. \(2024\)](#) further indicate that UK auditors use KAMs to convey information related to the uncertainty implicit in M&A transactions. These KAMs can alert investors to the risk of poor post-acquisition performance and forced CEO turnover from the audited company.

More recent studies suggest that textual characteristics of KAMs play an essential role in information communication. For example, [Seebeck and Kaya \(2023\)](#), focusing on the UK, indicate that specific KAMs generate positive capital market reactions. [Zeng et al. \(2021\)](#) assert, based on a Chinese sample, that non-boilerplate KAMs contribute to improving audit quality. [Smith \(2023\)](#) reveals that UK auditors use more negative language in the KAMs after they identify the potential risks of client firms. Therefore, investigating the textual characteristics of specific KAMs is necessary for exploring their communicative value and informativeness ([Liu et al., 2023](#)).

In summary, we argue that the above studies draw inconsistent conclusions about the usefulness of KAM disclosures, mainly because all types of KAMs are treated as a uniform category, which limits the possibility of drawing more accurate conclusions ([Andreicovici et al., 2020](#); [Minutti-Meza, 2021](#)). Alternatively, the content and format of KAMs may fail to convey information to the intended users.

3.2. Hypotheses development

The PCs in China differ from the earnout mechanism, but both add-on contracts aim to reduce valuation risk and adverse selection risk arising from information asymmetry in M&As ([Cain et al., 2011](#); [Jansen, 2020](#); [Song et al., 2019](#); [Tao et al., 2022](#)). The acquirees in most Chinese M&As are unlisted companies ([Song et al., 2019](#); [Tao et al., 2022](#)). Therefore, investors and analysts can learn only the basic information about the target firm from the M&A announcement disclosed by the acquirer, which may reduce the transparency of the disclosed information. According to principal-agent theory, the acquirer's executive team tends to manipulate items such as performance thresholds and pay-out amounts in the PC to maximise their private interests, even if these items are detrimental to shareholders' long-term profits ([Song et al., 2019](#); [Zeng et al., 2022](#)). M&As with PCs appear to be dangerous 'one-shot' deals. Specifically, if the acquirer exaggerates the potential value of the target firm, the PC will push up the transaction price ([Barbopoulos and Adra, 2016](#); [Tao et al., 2022](#)), resulting in a price that deviates substantially from the actual value of the target firm. The target enterprise will likely fail to achieve the promised performance during the performance review period and even be unable to pay enormous compensation. These consequences increase the risk of considerable goodwill impairment ([Kravet, 2014](#); [Zeng et al., 2022](#)). With the wave of M&A activities, goodwill proliferates in the capital market, and high goodwill value leads to management attempts to manipulate earnings ([Barth et al., 2001](#)). If management does not recognise impairment of goodwill in time, excess goodwill will increase the risk of a stock crash and damage the firm's future performance ([Han and Tang, 2020](#)). However, the decision to impair goodwill and the extent of goodwill impairment still relies on management's judgement ([Zeng et al., 2022](#)). [Zhang et al. \(2024\)](#) find that many listed companies release large amounts of goodwill impairment after PC expiration, increasing stock price crash risk. In summary, management's professional judgement is essential in estimating the target firm and goodwill values, and PC increases the risk of management decisions. Compared with M&As without PCs, those with PCs have higher uncertainty in their estimates of forward-looking information and significant management judgement. Auditors are responsible for identifying the risk of material misstatement arising from PCs, alerting the intended financial statement users to the potential risk of M&As with PCs, and monitoring whether management recognises goodwill impairment in time and whether the amount of impairment is reasonable ([Zhang et al., 2024](#)).

Accountability theory suggests that auditors and audit firms may face regulatory penalties and third-party stakeholder lawsuits if listed companies experience lousy business situations (e.g., bankruptcy and liquidation, significant declines in market capitalisation, severe regulatory penalties, or fraud), but their audit reports do not mention going concern issues or have the standard unqualified opinion ([Kend and Nguyen, 2022](#); [Peecher et al., 2013](#)). Performing activities that involve high uncertainty in future estimates and management judgement appears to be a critical reason that companies suffer poor business situations. Hence, under the pressure of outcome accountability, auditors may identify M&As with PCs as an area of material misstatement risk and perform more audit procedures to obtain sufficient and appropriate audit evidence. However, the prior audit reports cannot communicate this determination process to report users and regulators. [Peecher et al. \(2013\)](#) argue that holding auditors accountable by relying solely on audit outcomes and ignoring auditors' judgment processes is biased. From their enhanced accountability framework, adding process

accountability into the environment of outcomes accountability can improve the quality of auditors' judgment and the quality of audit reports. After implementing new auditing standards, KAMs provide a direction for process accountability and help information overloaded users identify business activities that contain specific risks in the financial statements (Fuller et al., 2021).

For shareholders, investors, and analysts, the quality of M&A-related information is essential (He et al., 2021), and KAMs increase the accountability pressure on auditors (Gimbar et al., 2016; Gold et al., 2020; Reid et al., 2019). Regarding business characteristics, PCs raise the risk of management decisions in M&As, and M&As with PCs involve higher estimation uncertainty and significant management judgement. In terms of auditor judgement, a due diligence auditor would view the PC as an essential risk factor in the M&A integration and goodwill value. Hence, auditors are more likely to disclose M&A-related information in KAMs when the firm has a PC in its M&A. In addition, KAMs can provide auditors with disclaimers to avoid lawsuits or penalties if the client firm suffers adverse financial situations (Brasel et al., 2016; Coram and Wang, 2021; Kachelmeier et al., 2020). Chinese regulators have recently constantly required auditors to perform their role as the gatekeepers of financial information. They have also increased civil and criminal liability for violations by audit firms and auditors.⁶ Accordingly, when auditors perceive a high risk from M&As with PCs, they may report more than one M&A-related KAM to alert report users to the risks associated with the transaction in respond to third-party process and outcome accountability. Therefore, auditors tend to disclose a higher number and proportion of M&A-related KAMs for M&As with PCs. Based on the analysis, we propose the following hypothesis:

Hypothesis 1: Auditors are more likely to disclose M&A-related KAMs for M&As with PCs compared to those without PCs.

Disclosing M&A-related KAMs is challenging for auditors. Scholars have raised the concern that KAMs might be disclosed in a boilerplate way (Minutti-Meza, 2021; Zeng et al., 2021). Furthermore, studies show that boilerplate information provides little firm-specific information and holds lower communication value (Brown and Tucker, 2011; Kachelmeier et al., 2020; Lang and Stice-Lawrence, 2015). Demski (1973) points out that further granular information is more beneficial to decision-makers. In audit reports, non-boilerplate KAMs can convey more specific information (Seebeck and Kaya, 2023) and reduce users' information acquisition costs (Zhai et al., 2021). Thus, non-boilerplate KAMs can increase audit quality (Zeng et al., 2021) and alleviate the principal-agent problem so investors can benefit from audit reports (Arikan, 2022; Gray et al., 2011). Standards setters have recently emphasised that audit firms should review the quality of their audit procedures, including the appropriateness of KAMs (IAASB, 2020; MFPRC, 2020). The PCAOB suggests that expanding accountability for audit quality can reduce the project teams' deficiencies in specific audit procedures and thus improve audit quality (PCAOB, 2019), which means that regulators are ensuring gradual change in audit quality from outcome accountability to outcome and process accountability. Under the pressure of process accountability, auditors who focus on the M&As with PCs will disclose more special audit procedures and audit evidence to demonstrate their efforts to dutifully perform their monitoring role (Jensen and Meckling, 1976), thereby avoiding third-party accountability (PCAOB, 2019; Peecher et al., 2013; Westermann et al., 2019). Moreover, completing a complex audit is also worthy of disclosure by the audit firm and the auditor. The previous boilerplate audit reports are uniform in format and content, which does not provide the opportunity to showcase for the auditor who completes the work better. Put differently, the differential disclosure of KAMs is also a stealthy competitive tool for audit firms (Zeng et al., 2021). Therefore, we expect auditors will disclose non-boilerplate M&A-related KAMs when the firm has a PC in its M&A transaction. Based on this argument, we propose the following hypothesis:

Hypothesis 2: M&As with PCs are negatively associated with the disclosure of boilerplate M&A-related KAMs.

Compared to the traditional audit report, KAM descriptions and KAM procedures of the extended audit report provide investors with a description of the material matters and the reasons for their selection, as well as the specific audit procedures implemented by the auditors, respectively (IAASB, 2015; MFPRC, 2016; PCAOB, 2022). Specifically, KAM descriptions communicate the basic information about the events and the reasons for the auditor's judgment about the high-risk matters, which allows investors to quickly understand the fundamentals of the transaction, thereby reducing the information uncertainty of the relevant transaction. KAM procedures increase the investors' understanding of the audit process, which can mitigate their sensitivity of the firm's risk of material misstatements. Such additional disclosures are informative and integrated into investors' decision-making (Goh et al., 2024). When auditors view the PC as a risk factor for an M&A, they will disclose the M&A-related KAMs, which can focus investors' attention on the M&A transaction and drive them to prioritize the financial reporting risks of the matter (Sirois et al., 2018). Additionally, M&A-related KAMs provide investors with specific information from the auditor's perspective and increase the transparency of M&A information, thereby giving investors more assurance about the reliability of the transactions. As illustrated in Appendix B, the auditor discloses more information in the M&A-related KAM for an M&A with a PC than for that without a PC. Specifically, such KAM contains more detailed M&A information and more descriptions of audit procedures and audit evidence, which can mitigate investors' concerns about the risk of material misstatement. Such incremental information can influence investors' decision-making (Goh et al., 2024). Theory suggests that KAMs with communicative value and informativeness are positively associated with capital market reactions (Liao et al., 2022). Therefore, we argue that M&A-related KAMs for M&As with PCs result in stronger market reaction than those without PCs.⁷

Based on the above analysis, we propose the following hypothesis:

Hypothesis 3: M&A-related KAMs for M&As with PCs generate stronger market reactions than those without PCs.

⁶ For more details, please refer to the link: <https://www.csrc.gov.cn/csrc/c101800/cb64c3ee9320543e4ba4d3ccdd97358d/content.shtml>.

⁷ We express our utmost gratitude to the editor and the anonymous reviewer for their invaluable suggestions concerning the inclusion of Hypothesis 3.

4. Research methods

4.1. Sample selection

Considering that CSA1504 was implemented in the 2017 annual reports of all A-share listed companies, our research period is from 2017 to 2022. We start with successful M&A events in which the acquirer is a listed company during the study period. The KAMs and auditor-related information are from the Chinese Research Data Services Database (CNRDS), and other financial information is from the China Stock Market and Accounting Research Database (CSMAR). We manually supplement the PC information missing in CSMAR using M&A announcements.

Panel A of Table 1 shows the sample selection process. We obtain a sample of 2,891 firm-year observations to test Hypothesis 1 and Hypothesis 3 after excluding ST firms,⁸ financial firms, and firms with missing control variables. The sample for testing Hypothesis 2 consists of 1,359 firm-year observations after excluding observations without M&A-related KAMs. Panel B shows the distribution of the sample companies by industry according to the industry classification standard set by the CSRC, where we use the two-digit code for the manufacturing industry and the one-digit code for all other industries.

4.2. Boilerplate measures

We employ textual similarity and specificity as measures to determine the boilerplate level of KAMs. Following prior literature (Brown and Tucker, 2011; Lang and Stice-Lawrence, 2015; Loughran and McDonald, 2016; Zeng et al., 2021), we compute the term frequency-inverse document frequency (TF-IDF) weighting cosine distance to gauge the similarity among the texts. The detailed procedure entails: (1) using KAMs disclosed by listed companies from 2017 to 2022 as a corpus and labeling the M&A-related KAMs⁹; (2) utilising *Jieba*, a Python-based Chinese word splitting tool, to split the corpus collection and calculate the term frequency (TF) and inverse document frequency (IDF) values after removing the stop words from all words¹⁰; (3) transforming the set of KAM words for each company into sparse bag-of-words (BOW) vectors using the BOW Model; (4) computing the cosine distance of the vectors using Equation (1). If firm i has more than one M&A-related KAM, we use the mean value as the similarity score of that firm. Next, we perform these steps for the KAM description and KAM procedure texts and use the average similarity scores for both sections as the similarity of firm-level M&A-related KAM.

$$SIM_{a,b} = \cos(\theta) = \frac{A \cdot B}{\|A\| \|B\|} = \frac{\sum_i (A_i \times B_i)}{\sqrt{\sum_i (A_i)^2} \times \sqrt{\sum_i (B_i)^2}} \quad (1)$$

We then compute three variables of KAM textual similarity: SIM_b , SIM_{t-1} , and SIM_{t-2} . Specifically, SIM_t measures the average of the cosine distances between an M&A-related KAM of firm i in year t and every M&A-related KAM of other firms, and SIM_{t-1} and SIM_{t-2} measure the average of the cosine distances between an M&A-related KAM of firm i in year t and every KAM of that firm in year $t-1$ and year $t-2$, respectively. Lower values of the similarity variables imply that auditors disclose less boilerplate information.

Textual specificity is another measure that can be employed to gauge the boilerplate level (Cazier et al., 2020). Prior literature indicates that textual specificity can be assessed by examining the degree to which specific entities such as persons, organisations, locations, time, money, percentage, and dates are discussed in the disclosure (Cazier et al., 2020; Hope et al., 2016; Zeng et al., 2021). In our research context, the information that includes the names of organisations, such as the specific entity names of the transaction parties, can provide more idiosyncratic details than the information that employs general words, such as “firm”. We define SPE as the ratio of the number of institutional names mentioned in the KAMs to the total number of words, as shown in Equation (2). Higher value of SPE indicates that the M&A-related KAMs disclose more relevant information from both parties, thus implying that auditors disclose less boilerplate information.

$$SPE = \frac{\text{Numbers of organization names}}{\text{Total of words}} \quad (2)$$

4.3. Research design

Our first hypothesis investigates whether auditors focus more on the M&A event and disclose relevant information in KAMs when the firm signs a PC. Accordingly, we set the following empirical model:

$$KAM = \beta_0 + \beta_1 PC_Dummy + \sum \beta Controls + YearFE + IndustryFE + \varepsilon \quad (3)$$

⁸ ST refers to special treatment, encompassing both ST and *ST designations, which serve as indicators for problematic firms and serve to alert investors to associated risks. ST firms are listed companies in China that have incurred losses for two consecutive years and are subject to special treatment in stock transactions. *ST firms are listed companies that have incurred losses for three consecutive years, and their stocks receive a delisting warning from the exchange.

⁹ Appendix D, Note 1 provides the details of the selection method.

¹⁰ Appendix D, Note 2 provides the calculation formula.

Table 1
Sample selection and distribution by industry.

Panel A: The sample selection process			
	Firms	Observations	M&A Events
Initial sample of successful M&As	2,026	3,216	4,226
(–)ST firms	76	80	–
(–)Financial firms	30	37	–
(–)Observations without necessary variables	84	208	–
Total samples for H1 and H3	1,836	2,891	3,791
(–)Observations without M&A-related KAMs	927	1,532	–
Total samples for H2	909	1,359	–
Panel B: Sample distribution by industry			
Industry Name	Observations	M&As	M&As with PCs
Agriculture, Forestry, Animal Husbandry, Fisheries	33	39	18
Mining	58	69	18
Manufacturing: food and textile	138	189	48
Manufacturing: chemical products	591	765	192
Manufacturing: metal and equipment	1,139	1,437	419
Manufacturing: instruments	56	88	24
Electricity, Gas and Water	95	133	23
Construction	83	101	26
Wholesale and Retail Trade	133	186	53
Transportation, Storage and Postal	78	121	19
Accommodation and Catering	213	265	107
IT and Computing	67	95	25
Leasing and Business Services	56	70	21
Scientific Research and Technical Services	56	71	24
Public Utilities	42	69	14
Residential Services, Repairs and Other Services	11	31	3
Education	33	46	18
Health and Social Work	9	16	4
Total	2,891	3,791	1,056

Note: This table presents the sample selection process (Panel A) and the industry distribution of the sample (Panel B). The industries of the firms are classified in accordance with the industry classification standards set by the CSRC in 2012. The manufacturing industry is classified by two-character, and other industries are classified by one-character.

where *KAM* has three measures: *KAM_Dummy*, *KAM_Num*, and *KAM_Ratio*. The dummy variable *KAM_Dummy* is equal to 1 if firm *i* discloses an M&A-related KAM in year *t*, and 0 otherwise, *KAM_Num* is the number of M&A-related KAMs disclosed by firm *i* in year *t*, and *KAM_Ratio* is the ratio of the number of M&A-related KAMs disclosed by firm *i* in year *t* to the number of all categories of KAMs disclosed in that year. The main independent variable of interest is *PC_Dummy*, which equals 1 when firm *i* has a PC in an M&A in year *t*, and 0 otherwise. A significant positive coefficient on *PC_Dummy* indicates that auditors pay attention to M&As with PCs and disclose them in their KAMs. We included several control variables identified in prior studies (Abdelfattah et al., 2021; Pinto and Morais, 2019; Seebeck and Kaya, 2023; Sierra-García et al., 2019). The firm characteristic variables include *SIZE*, *LEV*, *GROWTH*, *MB*, *TOP*, *MSR*, *ROA*, *DA*, *LOSS*, and *SOE*. The auditor-related control variables include *FEE*, *BIG4*, *OPINION*, and *DELAY*. We also control for year and industry fixed effects and cluster standard errors by firm.

We then test the boilerplate level of M&A-related KAMs regarding textual similarity and specificity and construct the following model.

$$TEXT = \beta_0 + \beta_1 PC + \sum \beta Controls + YearFE + IndustryFE + \varepsilon \quad (4)$$

The dependent variable, *TEXT*, is measured by the textual similarity (*SIM_b*, *SIM_{t-1}*, and *SIM_{t-2}*) and specificity (*SPE*). This model contains the same control variables as model (3). The main independent variable of interest is still *PC*. We control for year and industry fixed effects and cluster standard errors by firm.

We estimate the following regression model to examine whether the market reacts more strongly to M&A-related KAMs for M&As with PCs.

$$REACTION = \beta_0 + \beta_1 PC_Dummy * KAM + \beta_2 PC_Dummy + \beta_3 KAM + \sum \beta Controls + YearFE + IndustryFE + \varepsilon \quad (5)$$

Following Gutierrez et al. (2018) and Goh et al. (2024), we employ three dependent variables to capture the market reaction. First, *ABCAR* is the sum of the three-day absolute abnormal returns around the release date of an audit report. Second, *AVOL* is the average three-day abnormal trading volume around the audit report release date. Third, *SYNC* is the firm's stock price synchronization. In this model, we are interested in the coefficient of the interaction term *PC_Dummy * KAM*. Referring to previous studies (Goh et al., 2024; Gul et al., 2010; Gutierrez et al., 2018), we include a series of variables that can affect the market's reaction: *LnMV*, *LEV*, *MB*, *ΔEPS*, *BETA*, *ROA*, *DA*, *LOSS*, *BIG4*, *OPINION*, and *DELAY*. We also control for year and industry fixed effects and cluster standard errors by firm.

Appendix A provides detailed definitions for all variables.

5. Results

5.1. Descriptive statistics

Panel A of Table 2 reports summary statistics for the main variables. The mean value of *PC_Dummy* is 0.365, which means that 36.5 % of listed companies sign a PC in our M&A sample. The mean of *KAM_Dummy* is 0.470, indicating that 47.0 % of the sample firms report M&A-related KAMs. *KAM_Num* has a maximum of 2 and a mean of 0.500, whilst *KAM_Ratio* has a maximum of 1 and a mean of 0.216. We note that KAMs related to M&A accounts for 21.6 % of all types KAMs, and in some firms' disclosures, all KAMs in the fiscal year relate to M&As. These results indicate that auditors pay great attention to M&A risks. *SIM_t* ranges from 0.020 to 0.393 with a mean value of 0.244. The mean values of *SIM_{t-1}* and *SIM_{t-2}* are 0.264 and 0.235, respectively. Moreover, an average of 2.1 % of all words in the M&A-related KAM mention the names of organisations, with a maximum of 8.2 %. Additionally, the mean ROA, leverage, and book-to-market ratio are 0.037, 0.443, and 0.654, respectively. The mean management shareholding is 15.1 %, and the mean shareholding ratio of the largest shareholder is 33.0 % in the sample firms. Meanwhile, the average operating income growth is 40.6 %. Approximately 98.7 % of the firms received a standard unqualified audit report, and 5.4 % were audited by the Big 4.

In further analysis, we separate the total sample into two sub-samples: M&As with PCs (*PC_Dummy* = 1) and M&As without PCs (*PC_Dummy* = 0) to examine the difference in each variable. Panel B of Table 2 shows each variable's within-group means and between-group mean differences. The mean values of *KAM_Dummy* (0.243, $p < 0.01$), *KAM_Num* (0.270, $p < 0.01$), and *KAM_Ratio* (0.111, $p < 0.01$) are significantly higher in the subsample of M&As with PCs. Additionally, the market reaction to M&A-related KAMs for M&As with PCs is stronger. Specifically, the difference in means of *ABCAR* and *AVOL* is 0.009 and 0.004, respectively, and both are significant at the 1 % level. Although the mean of *SYNC* does not differ significantly between the two sample groups, the effect of PCs requires further regression testing. Auditors disclose less similarity (*SIM_t*, -0.038 , $p < 0.01$; *SIM_{t-1}*, -0.052 , $p < 0.01$; *SIM_{t-2}*, -0.090 , $p < 0.01$) and more specificity (*SPE*, 0.004, $p < 0.01$) KAMs for M&As with PCs than those without PCs. In conclusion, the results of the mean difference test initially verify our hypotheses.

5.2. Empirical results

Table 3 presents the regression results for model (3). The coefficients of *PC_Dummy* are 0.901, 0.220 and 0.090, respectively, and are significant at the 1 % level. These results show that, compared to M&As without PCs, auditors are more likely to disclose M&A-related KAM for those with PCs. Further, the number of M&A-related KAMs and its proportion to the total number of KAMs increase when the acquirer is more inclined to have PCs in its M&A activities. For the control variables, ROA significantly negatively impacts the number and proportion of M&A-related KAMs, state-owned (*SOE*) firms disclose fewer M&A-related KAMs. Firms with shorter audit report delays (*DELAY*) disclose a greater number and higher proportion of M&A-related KAMs. Moreover, audit fees (*FEE*) have a significant positive effect on *KAM*. Overall, the results prove that KAMs vary with the fundamental M&A activities of the firm and support Hypothesis 1.

We then investigate the impact of M&As with PCs on the boilerplate level of M&A-related KAMs and report the regression results in Table 4. In Column (1), *PC_Dummy* is significantly and negatively correlated with *SIM_t* (coefficient = -0.025 , $p < 0.01$), which indicates that a firm's M&A-related KAMs are less similar in text to the same type of KAMs disclosed by other firms in that year when its M&As includes PCs. In Columns (2) and (3), the coefficients of *PC_Dummy* are -0.033 and -0.069 , respectively, and both are significant at the 1 % level. These results suggest that auditors communicate different information to report users in KAMs from that available in KAMs over the previous years. Furthermore, in Column (4), the dependent variable is *SPE*, the coefficient of *PC_Dummy* is 0.310 and significant at the 1 % level, which shows that auditors disclose idiosyncratic information in M&A-related KAMs for M&A with PCs. Therefore, auditors report M&A-related KAMs with low textual similarity and high specificity when the firm has a PC, which means they disclose non-boilerplate information. Our findings mitigate Minutti-Meza's (2021) concern that KAMs may be disclosed in a boilerplate style over time. Collectively, the findings support our Hypothesis 2.

The results of market reaction tests are presented in Table 5. Columns (1)–(3) show the regression results using abnormal returns as a proxy for market reaction. The coefficients of interaction terms are positive and significant at the 5 % level. Specifically, the coefficient on *PC_Dummy***KAM_Dummy* is 0.013 (t-value = 2.53), the coefficient on *PC_Dummy***KAM_Num* is 0.011 (t-value = 2.54), and the coefficient on *PC_Dummy***KAM_Ratio* is 0.021 (t-value = 2.09). These results suggest that M&A-related KAMs disclosed by auditors for M&As with PCs generate a stronger stock price reaction. Interestingly, this finding differs from Goh et al. (2024), who did not find the informativeness of KAMs when using abnormal returns as a proxy for market reaction. Thus, exploring the communicative value of KAMs by considering specific types of KAMs may yield more precise conclusions (Andreicovici et al., 2020; Minutti-Meza, 2021). The regression results where the dependent variable is abnormal trading volume are presented in Columns (4)–(6). The coefficient of *PC_Dummy***KAM_Dummy* is 0.005 ($p < 0.05$), *PC_Dummy***KAM_Num* is 0.003 ($p < 0.10$), and *PC_Dummy***KAM_Ratio* is 0.009 ($p < 0.05$). The results indicate that M&A-related KAMs for M&As with PCs trigger greater abnormal trading volumes. Finally, Columns (7)–(9) report the results of the stock price synchronisation tests. In all specifications, the coefficients of interaction terms are negative and significant at the 1 % level, suggesting that M&A-related KAMs disclosed for M&As with PCs decrease stock price synchronisation. Therefore, M&A-related KAMs for M&As with PCs can affect investor decision-making, which supports Hypothesis 3.

Table 2
Descriptive statistics.

Panel A: Summary Statistics						
Variable	N	Mean	SD	Min	Median	Max
<i>PC_Dummy</i>	2,891	0.365	0.482	0.000	0.000	1.000
<i>KAM_Dummy</i>	2,891	0.470	0.499	0.000	0.000	1.000
<i>KAM_Num</i>	2,891	0.500	0.556	0.000	0.000	2.000
<i>KAM_Ratio</i>	2,891	0.216	0.251	0.000	0.000	1.000
<i>ABCAR</i>	2,891	0.068	0.064	0.001	0.050	0.354
<i>AVOL</i>	2,891	0.015	0.026	−0.010	0.006	0.136
<i>SYNC</i>	2,891	−1.464	1.230	−5.641	−1.249	0.554
<i>SIZE</i>	2,891	22.423	1.226	20.188	22.268	26.110
<i>LEV</i>	2,891	0.443	0.182	0.083	0.441	0.867
<i>GROWTH</i>	2,891	0.406	1.017	−0.554	0.192	7.854
<i>MB</i>	2,891	0.654	0.238	0.131	0.661	1.178
<i>TOP</i>	2,891	0.330	0.144	0.085	0.304	0.760
<i>MSR</i>	2,891	0.151	0.188	0.000	0.045	0.648
<i>ROA</i>	2,891	0.037	0.065	−0.290	0.039	0.205
<i>DA</i>	2,891	0.067	0.072	0.001	0.045	0.387
<i>LOSS</i>	2,891	0.108	0.310	0.000	0.000	1.000
<i>SOE</i>	2,891	0.255	0.436	0.000	0.000	1.000
<i>FEE</i>	2,891	14.036	0.631	12.899	13.947	16.190
<i>BIG4</i>	2,891	0.054	0.227	0.000	0.000	1.000
<i>OPINION</i>	2,891	0.987	0.112	0.000	1.000	1.000
<i>DELAY</i>	2,891	1.800	0.933	0.000	2.000	4.000
<i>LnMV</i>	2,891	23.079	1.068	21.357	22.875	26.301
<i>ΔEPS</i>	2,891	−0.010	0.600	−2.458	0.010	2.219
<i>BETA</i>	2,891	1.014	0.454	−0.114	1.015	2.289
<i>SIM_t</i>	1,359	0.244	0.098	0.020	0.263	0.393
<i>SIM_{t-1}</i>	978	0.264	0.167	0.010	0.241	0.677
<i>SIM_{t-2}</i>	655	0.235	0.165	0.011	0.199	0.644
<i>SPE</i>	1,359	0.021	0.017	0.000	0.017	0.082
Panel B: Mean differences						
Variable	<i>PC_Dummy</i> = 1		<i>PC_Dummy</i> = 0		Difference in mean	t-value
	N	Mean	N	Mean		
<i>KAM_Dummy</i>	1,056	0.624	1,835	0.381	0.243***	12.938
<i>KAM_Num</i>	1,056	0.671	1,835	0.401	0.270***	12.934
<i>KAM_Ratio</i>	1,056	0.286	1,835	0.175	0.111***	11.750
<i>ABCAR</i>	1,056	0.074	1,835	0.064	0.009***	3.822
<i>AVOL</i>	1,056	0.018	1,835	0.013	0.004***	4.423
<i>SYNC</i>	1,056	−1.488	1,835	−1.450	−0.039	−0.811
<i>SIZE</i>	1,056	22.250	1,835	22.520	−0.274***	−5.809
<i>LEV</i>	1,056	0.431	1,835	0.449	−0.018***	−2.599
<i>GROWTH</i>	1,056	0.689	1,835	0.243	0.446***	11.619
<i>MB</i>	1,056	0.655	1,835	0.653	0.002	0.251
<i>TOP</i>	1,056	0.315	1,835	0.339	−0.023***	−4.222
<i>MSR</i>	1,056	0.154	1,835	0.149	0.006	0.785
<i>ROA</i>	1,056	0.036	1,835	0.037	−0.001	−0.556
<i>DA</i>	1,056	0.078	1,835	0.060	0.018***	6.537
<i>LOSS</i>	1,056	0.099	1,835	0.113	−0.013	−1.116
<i>SOE</i>	1,056	0.244	1,835	0.260	−0.016	−0.961
<i>FEE</i>	1,056	13.980	1,835	14.070	−0.083***	−3.425
<i>BIG4</i>	1,056	0.031	1,835	0.068	−0.036***	−4.161
<i>OPINION</i>	1,056	0.985	1,835	0.989	−0.004	−0.854
<i>DELAY</i>	1,056	1.781	1,835	1.810	−0.029	−0.807
<i>LnMV</i>	1,056	22.920	1,835	23.170	−0.253***	−6.185
<i>ΔEPS</i>	1,056	0.017	1,835	−0.025	0.042*	1.802
<i>BETA</i>	1,056	1.026	1,835	1.007	0.019	1.098
<i>SIM_t</i>	659	0.224	700	0.262	−0.038***	−7.305
<i>SIM_{t-1}</i>	418	0.233	560	0.286	−0.052***	−4.917
<i>SIM_{t-2}</i>	248	0.179	407	0.269	−0.090***	−6.988
<i>SPE</i>	659	0.024	700	0.019	0.004***	4.627

Note: This table reports descriptive statistics for the sample. Panel A presents summary statistics, and Panel B shows the difference in the mean of the variables between M&As with PCs and those without PCs. All continuous variables are winsorized at the 1st and 99th percentiles. *, **, and *** represent statistical significance at the 1%, 5%, and 10% levels, respectively. All variables are defined in [Appendix A](#).

Table 3
M&As with PCs and M&A-related KAM disclosures.

Variables	(1)	(2)	(3)
	<i>KAM_Dummy</i>	<i>KAM_Num</i>	<i>KAM_Ratio</i>
<i>PC_Dummy</i>	0.901*** (9.78)	0.220*** (9.97)	0.090*** (8.73)
<i>SIZE</i>	0.074 (0.96)	0.027 (1.50)	0.005 (0.68)
<i>LEV</i>	-0.918*** (-2.69)	-0.194** (-2.56)	-0.108*** (-3.03)
<i>GROWTH</i>	0.052 (1.12)	0.015 (1.30)	0.005 (1.08)
<i>MB</i>	-0.470* (-1.76)	-0.126** (-2.10)	-0.056** (-1.96)
<i>TOP</i>	-2.046*** (-5.37)	-0.451*** (-5.32)	-0.217*** (-5.60)
<i>MSR</i>	-0.162 (-0.53)	-0.069 (-0.99)	-0.024 (-0.74)
<i>ROA</i>	-4.702*** (-4.32)	-1.125*** (-4.59)	-0.418*** (-3.93)
<i>DA</i>	-0.476 (-0.73)	-0.078 (-0.51)	-0.091 (-1.40)
<i>LOSS</i>	0.024 (0.12)	-0.008 (-0.19)	0.001 (0.03)
<i>SOE</i>	-0.474*** (-3.31)	-0.125*** (-3.79)	-0.027* (-1.78)
<i>FEE</i>	0.452*** (3.58)	0.103*** (3.53)	0.038*** (2.82)
<i>BIG4</i>	0.185 (0.76)	0.100 (1.58)	0.030 (1.04)
<i>OPINION</i>	0.339 (0.86)	0.082 (0.93)	-0.027 (-0.52)
<i>DELAY</i>	-0.110** (-2.18)	-0.022* (-1.92)	-0.011** (-2.04)
<i>Year FE</i>	Yes	Yes	Yes
<i>Industry FE</i>	Yes	Yes	Yes
<i>Constant</i>	-7.336*** (-4.68)	-1.266*** (-3.49)	-0.244 (-1.43)
<i>N</i>	2,891	2,891	2,891
<i>Pseudo R²/R²</i>	0.122	0.168	0.136
<i>Wald chi2/F</i>	349.13***	18.27***	14.59***

Note: This table presents the regression results examining the impacts of M&As with PCs on M&A-related KAM disclosures. Column (1) shows the logit regression results for the dependent variable *KAM_Dummy*, and the z-statistics given in parentheses are computed using standard errors adjusted for firm clustering. Columns (2) and (3) show the OLS regression results for the dependent variables *KAM_Num* and *KAM_Ratio*, and the t-statistics given in parentheses are computed using standard errors adjusted for firm clustering. All continuous variables are winsorized at the 1st and 99th percentiles. *, **, and *** represent statistical significance at the 1%, 5%, and 10% levels, respectively. All variables are defined in [Appendix A](#).

5.3. Robustness tests

We perform several robustness tests in this section to examine the validity of our conclusions. We employ propensity score matching (PSM) and the Heckman two-step model to alleviate the potential endogeneity. In other robustness tests, we substitute the independent and dependent variables and control for audit firm fixed effect.

5.3.1. Propensity score matching (PSM)

The results of the univariate test in Panel B of [Table 2](#) indicate significant differences in *SIZE*, *LEV*, *GROWTH*, and *TOP* between firms with and those without PCs in their M&As. To control for the sample selection issue arising from these differences, we put a newly matched sample into the model after using the PSM method and re-run the regressions ([Bates et al., 2018](#); [Song et al., 2019](#); [Tao et al., 2022](#)). We first match the sample M&As with PCs (treatment group) to the samples without (control group) in the PSM using the k-nearest neighbour method (where $k = 4$). We apply the logit regression model controlling for year and industry fixed effects to estimate the likelihood of an M&A having a PC. We select the firm size (*SIZE*), the leverage ratio (*LEV*), the growth rate of operating income (*GROWTH*), the shareholding ratio of the largest shareholder (*TOP*), and the state-owned firm (*SOE*) as covariates for the propensity score, following [Song et al. \(2019\)](#), and add book-to-market ratio (*MB*), management ownership ratio (*MSR*), *ROA*, and loss in the current year (*LOSS*) as covariates. All variables are defined in [Appendix A](#).

Subsequently, we determine whether the matched sample effectively controls for observable firm characteristics between firms with and without PCs in their M&As by testing the mean differences in covariates between the treatment and control groups. The

Table 4
M&As with PCs and the boilerplate level of M&A-related KAMs.

Variables	(1)	(2)	(3)	(4)
	SIM_t	SIM_{t-1}	SIM_{t-2}	SPE
<i>PC_Dummy</i>	−0.025*** (−4.80)	−0.033*** (−2.93)	−0.069*** (−4.99)	0.310*** (3.14)
<i>SIZE</i>	−0.002 (−0.48)	0.012 (1.27)	0.018 (1.61)	0.027 (0.36)
<i>LEV</i>	−0.020 (−1.08)	−0.043 (−1.18)	−0.056 (−1.32)	−0.424 (−1.20)
<i>GROWTH</i>	−0.004* (−1.72)	−0.020*** (−3.45)	−0.017*** (−2.96)	0.059 (1.31)
<i>MB</i>	−0.008 (−0.53)	−0.024 (−0.75)	−0.056 (−1.46)	0.296 (1.09)
<i>TOP</i>	−0.028 (−1.33)	−0.059 (−1.52)	−0.071 (−1.57)	0.677 (1.62)
<i>MSR</i>	0.048*** (2.99)	−0.028 (−0.85)	0.014 (0.31)	−0.471 (−1.49)
<i>ROA</i>	−0.020 (−0.37)	−0.128 (−1.17)	−0.129 (−0.96)	0.556 (0.49)
<i>DA</i>	−0.022 (−0.58)	−0.088 (−0.96)	−0.108 (−1.00)	0.469 (0.57)
<i>LOSS</i>	0.006 (0.56)	−0.011 (−0.52)	0.015 (0.55)	0.235 (1.08)
<i>SOE</i>	−0.019** (−2.25)	0.020 (1.11)	0.006 (0.30)	0.411*** (2.63)
<i>FEE</i>	0.008 (1.17)	0.016 (1.07)	0.028 (1.50)	−0.246* (−1.87)
<i>BIG4</i>	−0.061*** (−4.68)	−0.050** (−2.12)	−0.115*** (−4.92)	0.080 (0.37)
<i>OPINION</i>	−0.014 (−0.88)	0.027 (0.58)	0.097** (1.98)	0.321 (0.83)
<i>DELAY</i>	−0.002 (−0.82)	−0.012** (−2.02)	−0.005 (−0.66)	−0.053 (−1.01)
<i>Year FE</i>	Yes	Yes	Yes	Yes
<i>Industry FE</i>	Yes	Yes	Yes	Yes
<i>Constant</i>	0.234*** (2.86)	−0.148 (−0.91)	−0.523*** (−2.67)	4.292*** (2.80)
<i>N</i>	1,359	977	654	1,359
<i>R²</i>	0.261	0.102	0.171	0.078
<i>F</i>	6.36***	4.21***	6.28***	2.88***

Note: This table presents the impact of PCs on the boilerplate level of M&A-related KAMs. In Columns (1) to (3), the dependent variable is text similarity (SIM_t , SIM_{t-1} , and SIM_{t-2}), and in Column (4), the dependent variable is specificity (SPE). The t-statistics given in parentheses are computed using standard errors adjusted for firm clustering. All continuous variables are winsorized at the 1st and 99th percentiles. *, **, and *** represent statistical significance at the 1%, 5%, and 10% levels, respectively. All variables are defined in [Appendix A](#).

untabulated mean difference tests show no significant differences between the treatment and control group firms for all variables related to firm characteristics, indicating that our matched sample is reliable. We run the regressions using matched samples and the results are presented in [Table 6](#). In Panel A, the coefficients on *PC_Dummy* are positive and significant at the 1 % level. In Panel B, the textual similarity of M&A-related KAMs is significantly negatively related to *PC_Dummy*, and the specificity of M&A-related KAMs is significantly positively related to *PC_Dummy*. In Panel C,¹¹ the interaction term *PC_Dummy***KAM_Dummy* remains significantly positive with *ABCAR* and *AVOL* and significantly negative with *SYNC*. These results indicate that our main conclusions are robust.

5.3.2. Heckman two-step model

A firm's decision about whether to sign PCs may be non-random, which can lead to a self-selection bias ([Song et al., 2019](#)). In this section, we employ the Heckman two-step method to address this issue. In the first step, we use a probit model with *PC_Dummy* as the dependent variable. We control for the control variables in the main regressions and also control for several variables that can affect the decision on PCs ([Song et al., 2019](#); [Tao et al., 2022](#)), including whether the M&A is a related-party transaction (*RELEVANCE*), whether the M&A is a major asset restructuring (*MAJOR*), and whether the transaction's payment method includes cash payments (*PAYCASH*). Moreover, several studies show that managers make decisions by learning and imitating the behavior of other firms in the same industry ([Leary and Roberts, 2014](#); [Roychowdhury et al., 2019](#)). Therefore, we add the exogenous variable *PEER*, defined as the industry peer effect of PCs, into the first step of the Heckman model. As shown in Panel A of [Table 7](#), the coefficients on *PEER* are 0.709 and 0.750 in the first-stage results and are significant at the 10 % level. We then calculate the inverse mill ratio, *IMR* and *IMRR* by

¹¹ Replacing *KAM_Dummy* with *KAM_Num* and *KAM_Ratio* gives similar results (not reported for brevity).

Table 5
Market reaction analyses.

Variables	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
	ABCAR	ABCAR	ABCAR	AVOL	AVOL	AVOL	SYNC	SYNC	SYNC
<i>PC_Dummy</i> * <i>KAM_Dummy</i>	0.013** (2.53)			0.005** (2.19)			−0.245*** (−2.92)		
<i>PC_Dummy</i> * <i>KAM_Num</i>		0.011** (2.54)			0.003* (1.79)			−0.323*** (−3.92)	
<i>PC_Dummy</i> * <i>KAM_Ratio</i>			0.021** (2.09)			0.009** (2.21)			−0.423*** (−2.62)
<i>KAM_Dummy</i>	−0.005 (−1.53)			−0.001 (−0.77)			0.011 (0.27)		
<i>KAM_Num</i>		−0.005* (−1.82)			−0.001 (−0.79)			−0.022 (−0.59)	
<i>KAM_Ratio</i>			0.002 (0.38)			−0.001 (−0.23)			0.037 (0.48)
<i>PC_Dummy</i>	0.007*** (2.92)	0.008*** (3.02)	0.007*** (2.92)	−0.001 (−0.68)	−0.001 (−0.21)	−0.001 (−0.70)	−0.191*** (−4.43)	−0.178*** (−4.17)	−0.195*** (−4.54)
<i>LnMV</i>	0.002 (1.52)	0.002 (1.54)	0.002 (1.50)	−0.005*** (−9.82)	−0.005*** (−9.81)	−0.005*** (−9.80)	0.095*** (4.31)	0.096*** (4.38)	0.094*** (4.30)
<i>LEV</i>	0.008 (0.87)	0.007 (0.86)	0.008 (0.87)	0.001 (0.35)	0.001 (0.32)	0.001 (0.40)	−0.029 (−0.22)	−0.045 (−0.33)	−0.025 (−0.18)
<i>MB</i>	−0.024*** (−3.76)	−0.024*** (−3.77)	−0.024*** (−3.73)	0.001 (0.25)	0.001 (0.25)	0.001 (0.29)	0.292*** (3.03)	0.291*** (3.03)	0.292*** (3.03)
<i>ΔEPS</i>	−0.003 (−1.11)	−0.003 (−1.11)	−0.003 (−1.11)	0.001 (1.52)	0.001 (1.52)	0.001 (1.53)	−0.067* (−1.93)	−0.066* (−1.89)	−0.069** (−1.97)
<i>BETA</i>	−0.005 (−1.49)	−0.005 (−1.47)	−0.005 (−1.47)	0.005*** (4.88)	0.005*** (4.91)	0.005*** (4.90)	0.258*** (5.72)	0.256*** (5.67)	0.257*** (5.71)
<i>ROA</i>	−0.029 (−0.88)	−0.031 (−0.94)	−0.029 (−0.86)	−0.003 (−0.23)	−0.004 (−0.28)	−0.003 (−0.20)	1.969*** (4.05)	1.938*** (3.97)	1.984*** (4.08)
<i>DA</i>	0.030 (1.56)	0.030 (1.54)	0.030 (1.58)	0.017** (2.42)	0.017** (2.40)	0.017** (2.46)	0.075 (0.28)	0.084 (0.31)	0.072 (0.26)
<i>LOSS</i>	0.005 (0.84)	0.005 (0.81)	0.005 (0.83)	0.000 (0.17)	0.000 (0.13)	0.000 (0.18)	−0.101 (−1.22)	−0.100 (−1.21)	−0.100 (−1.22)
<i>BIG4</i>	−0.011** (−2.43)	−0.011** (−2.35)	−0.012** (−2.50)	0.001 (0.31)	0.001 (0.34)	0.000 (0.23)	−0.000 (−0.00)	−0.004 (−0.05)	0.004 (0.05)
<i>OPINION</i>	−0.054*** (−3.25)	−0.054*** (−3.24)	−0.054*** (−3.23)	0.001 (0.17)	0.001 (0.18)	0.001 (0.24)	0.604*** (2.76)	0.600*** (2.74)	0.599*** (2.74)
<i>DELAY</i>	−0.002 (−1.37)	−0.002 (−1.43)	−0.002 (−1.34)	−0.000 (−0.79)	−0.000 (−0.84)	−0.000 (−0.75)	0.024 (1.23)	0.024 (1.24)	0.024 (1.23)
<i>Year FE</i>	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
<i>Industry FE</i>	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
<i>Constant</i>	0.092*** (2.69)	0.091*** (2.67)	0.094*** (2.77)	0.127*** (10.06)	0.127*** (10.07)	0.126*** (9.99)	−4.785*** (−8.98)	−4.790*** (−9.02)	−4.775*** (−8.95)
<i>N</i>	2,891	2,891	2,891	2,891	2,891	2,891	2,891	2,891	2,891
<i>R</i> ²	0.055	0.055	0.055	0.113	0.112	0.114	0.353	0.356	0.352
<i>F</i>	4.59***	4.67***	4.50***	14.23***	14.18***	14.31***	13.63***	14.12***	13.55***

Note: This table presents the results of the market reaction of the M&A-related KAMs for M&As with PCs, compared to those without PCs. The dependent variable is the absolute cumulative abnormal returns (ABCAR) in Columns (1) to (3), abnormal trading volume (AVOL) in Columns (4) to (6), and stock price synchronicity (SYNC) in Columns (7) to (9). The t-statistics given in parentheses are computed using standard errors adjusted for firm clustering. All continuous variables are winsorized at the 1st and 99th percentiles. *, **, and *** represent statistical significance at the 1%, 5%, and 10% levels, respectively. All variables are defined in [Appendix A](#).

Table 6
Propensity score matching (PSM).

Panel A: Results of testing H1 using matched post-sample				
Variables	(1)	(2)	(3)	
	<i>KAM_Dummy</i>	<i>KAM_Num</i>	<i>KAM_Ratio</i>	
<i>PC_Dummy</i>	0.897*** (9.36)	0.217*** (9.55)	0.089*** (8.28)	
<i>Controls</i>	Yes	Yes	Yes	
<i>Year FE</i>	Yes	Yes	Yes	
<i>Industry FE</i>	Yes	Yes	Yes	
<i>Constant</i>	−6.755*** (−3.90)	−1.167*** (−2.87)	−0.164 (−0.87)	
<i>N</i>	2,420	2,420	2,420	
<i>Pseudo R²/R²</i>	0.123	0.172	0.135	
<i>Wald chi2/F</i>	299.54***	16.15***	12.20***	
Panel B: Results of testing H2 using matched post-sample				
Variables	(1)	(2)	(3)	(4)
	<i>SIM_t</i>	<i>SIM_{t-1}</i>	<i>SIM_{t-2}</i>	<i>SPE</i>
<i>PC_Dummy</i>	−0.024*** (−4.48)	−0.032*** (−2.69)	−0.069*** (−4.79)	0.326*** (3.21)
<i>Controls</i>	Yes	Yes	Yes	Yes
<i>Year FE</i>	Yes	Yes	Yes	Yes
<i>Industry FE</i>	Yes	Yes	Yes	Yes
<i>Constant</i>	0.231** (2.48)	−0.173 (−0.86)	−0.597*** (−2.63)	4.571*** (2.69)
<i>N</i>	1,166	820	533	1,166
<i>R²</i>	0.257	0.098	0.183	0.078
<i>F</i>	5.55***	3.54***	5.58***	3.58***
Panel C: Results of testing H3 using matched post-sample				
Variables	(1)	(2)	(3)	
	<i>ABCAR</i>	<i>AVOL</i>	<i>SYNC</i>	
<i>PC_Dummy</i>	0.008*** (2.87)	−0.001 (−0.60)	−0.212*** (−4.69)	
<i>PC_Dummy</i> * <i>KAM_Dummy</i>	0.013** (2.45)	0.004** (1.97)	−0.231*** (−2.60)	
<i>KAM_Dummy</i>	0.001 (0.53)	−0.001 (−0.97)	0.003 (0.07)	
<i>Controls</i>	Yes	Yes	Yes	
<i>Year FE</i>	Yes	Yes	Yes	
<i>Industry FE</i>	Yes	Yes	Yes	
<i>Constant</i>	0.111*** (3.03)	0.136*** (9.77)	−5.061*** (−8.13)	
<i>N</i>	2,420	2,420	2,420	
<i>R²</i>	0.055	0.112	0.338	
<i>F</i>	4.14***	11.65***	11.40***	

Note: This table presents the results of using the PSM method. The z-statistics are in parentheses in Column (1) of Panel A, and the t-statistics are in parentheses in the other columns. All continuous variables are winsorized at the 1st and 99th percentiles. *, **, and *** represent statistical significance at the 1%, 5%, and 10% levels, respectively. All variables are defined in [Appendix A](#).

utilising the results in Columns (1) and (2), respectively.

In the second stage, we include *IMR* in model (3) and model (4) and *IMRR* in model (5). The results of Heckman's second-stage regression are shown in Panels B, C, and D of [Table 7](#). The coefficients of *PC_Dummy* are significant and positive at the 1 % level in Panel B. The coefficients on *IMR* are significant at the 1 % level in Panel C. Moreover, *PC_Dummy* is significantly negatively correlated with *SIM_t*, *SIM_{t-1}*, and *SIM_{t-2}* and significantly positively correlated with *SPE*. In Panel D, the coefficients of *PC_Dummy***KAM_Dummy* are all significantly positive when the dependent variables are *ABCAR* and *AVOL*, and the coefficient of *PC_Dummy***KAM_Dummy* is significant and negative when the dependent variable is *SYNC*. These results suggest that our empirical findings are robust to self-selection concerns.

5.3.3. Alternative independent variables

We use the number (*PC_Num*) and proportion (*PC_Ratio*) of M&As with PCs as alternative variables for *PC_Dummy*. The results in the untabulated robustness tests are consistent with our main findings. First, the greater the number or proportion of M&As with PCs, the more likely auditors are to report M&A-related KAMs. Second, for M&As with PCs, auditors use non-boilerplate wording. Finally, the market reaction to M&A-related KAMs for M&As with PCs remains stronger. The results suggest that our main results are robust.

Table 7
Heckman two-stage model.

Panel A Heckman's first stage results				
Variables	(1)	(2)		
<i>PEER</i>	0.709* (1.87)	0.750* (1.96)		
<i>RELEVANCE</i>	0.177*** (3.20)	0.176*** (3.05)		
<i>MAJOR</i>	1.039*** (11.63)	1.196*** (13.68)		
<i>PAYCASH</i>	−0.793*** (−4.22)	−0.787*** (−4.44)		
Control variables in Model (3)	Yes	–		
Control variables in Model (5)	–	Yes		
Year FE	Yes	Yes		
Industry FE	Yes	Yes		
Constant	4.757*** (5.21)	5.909*** (9.21)		
<i>N</i>	2,336	2,336		
Pseudo <i>R</i> ²	0.187	0.183		
Wald <i>chi</i> 2	564.67***	551.96***		
Panel B: Heckman's second stage results for testing H1				
Variables	(1)	(2)	(3)	
	<i>KAM_Dummy</i>	<i>KAM_Num</i>	<i>KAM_Ratio</i>	
<i>PC_Dummy</i>	1.014*** (3.55)	0.290*** (4.02)	0.096*** (3.10)	
<i>IMR</i>	−0.082 (−0.45)	−0.045 (−0.99)	−0.003 (−0.17)	
Controls	Yes	Yes	Yes	
Year FE	Yes	Yes	Yes	
Industry FE	Yes	Yes	Yes	
Constant	−6.954*** (−3.92)	−1.498*** (−3.71)	−0.297 (−1.58)	
<i>N</i>	2,336	2,336	2,336	
Pseudo <i>R</i> ² / <i>R</i> ²	0.117	0.163	0.129	
Wald <i>chi</i> 2/ <i>F</i>	285.19***	13.61***	10.53***	
Panel C: Heckman's second stage results for testing H2				
Variables	(1)	(2)	(3)	(4)
	<i>SIM_t</i>	<i>SIM_{t-1}</i>	<i>SIM_{t-2}</i>	<i>SPE</i>
<i>PC_Dummy</i>	−0.085*** (−4.82)	−0.162*** (−4.77)	−0.201*** (−6.04)	1.409*** (3.95)
<i>IMR</i>	0.038*** (3.42)	0.074*** (3.53)	0.067*** (3.26)	−0.684*** (−3.04)
Controls	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes
Constant	0.373*** (4.15)	0.138 (0.72)	−0.306 (−1.48)	1.071 (0.63)
<i>N</i>	1,064	752	494	1,064
<i>R</i> ²	0.301	0.131	0.216	0.094
<i>F</i>	6.38***	4.73***	7.25***	2.70***
Panel D: Heckman's second stage results for testing H3				
Variables	(1)	(2)	(3)	
	<i>ABCAR</i>	<i>AVOL</i>	<i>SYNC</i>	
<i>PC_Dummy</i>	0.014* (1.84)	0.002 (0.89)	−0.126 (−1.08)	
<i>PC_Dummy</i> * <i>KAM_Dummy</i>	0.016*** (2.92)	0.005** (2.26)	−0.320*** (−3.46)	
<i>KAM_Dummy</i>	−0.008** (−2.41)	−0.001 (−0.92)	−0.015 (−0.36)	
<i>IMRR</i>	−0.009* (−1.91)	−0.001 (−0.39)	−0.033 (−0.43)	
Controls	Yes	Yes	Yes	
Year FE	Yes	Yes	Yes	

(continued on next page)

Table 7 (continued)

Industry FE	Yes	Yes	Yes
Constant	0.071* (1.82)	0.119*** (8.03)	−5.057*** (−8.48)
N	2,336	2,336	2,336
R ²	0.061	0.124	0.364
F	4.52***	11.48***	11.19***

Note: This table presents the results of Heckman two-stage model. The z-statistics are in parentheses in Panel A and Column (1) of Panel B, and the t-statistics are in parentheses in the other columns. All continuous variables are winsorized at the 1st and 99th percentiles. *, **, and *** represent statistical significance at the 1%, 5%, and 10% levels, respectively. All variables are defined in [Appendix A](#).

5.3.4. Alternative dependent variables

We first use Levenshtein distance (LVD_t , LVD_{t-1} , LVD_{t-2}) to re-measure text similarity and the total number of mentions of organisation names in KAMs ($SPE1$) to re-measure text specificity. The results after using the alternative text analysis methods still show that auditors report less boilerplate text in the KAMs for M&As with PCs. We then consider different proxy variables for market reaction. The coefficients of $PC_Dummy \times KAM_Dummy$ are significantly positive when the dependent variables are $ABCAR1$ and $AVOL1$, and the coefficient of $PC_Dummy \times KAM_Dummy$ is significant and negative when the dependent variable is $SYNC1$. These results support the robustness of our conclusions.

5.3.5. Controlling for audit firm fixed effect

Following [Abdelfattah et al. \(2021\)](#), we control for audit firm fixed effect to attenuate the concern that audit firm characteristics, which do not change over time, influence the results. For example, the audit firm may provide a fixed number of M&A-related KAMs and similar textual information in response to M&A events, and the effect does not account for whether the listed firm has a PC in its M&A. The regression results with the inclusion of audit firm fixed effects are consistent with our main findings.

6. Further analyses

6.1. Type of M&A

In this section, we explore the impact of affiliated M&As on the relationship between PCs and the boilerplate level of M&A-related KAMs. Prior research shows that related-party transactions are the most common form of tunnelling deals and typically destroy value ([Johnson et al., 2000](#)). [Ahn et al. \(2020\)](#) indicate that goodwill tends to be overstated, and acquirers take goodwill impairments more frequently in affiliated M&As. Hence, the material misstatement risk and the potential risk of future goodwill impairment are higher in affiliated M&As with PCs than in non-affiliated M&As with PCs. Auditors are alert to the financial information of client companies that undertake affiliated M&As and disclose more non-boilerplate M&A-related KAMs.

To test this hypothesis, we include $PC_Dummy \times RELEVANCE$ and $RELEVANCE$ in the model (4). As shown in [Table 8](#), $PC_Dummy \times RELEVANCE$ has a significantly negative relationship with SIM_t and SIM_{t-1} . In Column 3, the coefficient of $PC_Dummy \times RELEVANCE$ is negative but statistically insignificant. When the dependent variable is SPE , the coefficient of $PC_Dummy \times RELEVANCE$ is 0.406 and significant at the 10 % level. The results suggest that auditors disclose more non-boilerplate information in M&A-related KAMs for

Table 8

The effect of affiliated M&As on PCs and the boilerplate level of M&A-related KAMs.

Variables	(1) SIM_t	(2) SIM_{t-1}	(3) SIM_{t-2}	(4) SPE
$PC_Dummy \times RELEVANCE$	−0.042*** (−3.58)	−0.066*** (−2.77)	−0.044 (−1.60)	0.406* (1.79)
PC_Dummy	−0.028*** (−5.23)	−0.048*** (−4.05)	−0.090*** (−6.46)	0.369*** (3.49)
$RELEVANCE$	−0.011* (−1.91)	0.006 (0.43)	−0.021 (−1.44)	0.312** (2.42)
Controls	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes
Constant	0.240*** (2.88)	−0.046 (−0.27)	−0.442** (−2.17)	3.867** (2.38)
N	1,182	837	550	1,182
R ²	0.311	0.126	0.220	0.101
F	6.43***	4.04***	7.24***	2.77***

Note: The table presents the results of the moderating effect of affiliated M&As on PCs and the boilerplate level of M&A-related KAMs. The t-statistics given in parentheses are computed using standard errors adjusted for firm clustering. All continuous variables are winsorized at the 1st and 99th percentiles. *, **, and *** represent statistical significance at the 1%, 5%, and 10% levels, respectively. All variables are defined in [Appendix A](#).

affiliated M&As with PCs than non-affiliated M&As with PCs.

6.2. Litigation risk

As mentioned in the hypothesis, auditors may disclose M&A-related KAMs to protect themselves from high litigation risks (Bepari et al., 2022; Brasel et al., 2016). Nonetheless, whether this mechanism holds in the Chinese legal milieu remains uncertain. In this section, we investigate whether the boilerplate level of KAMs varies across firms with different litigation risks. Specifically, we introduce a new variable to measure a firm's litigation risk, *LAWSUIT*, which equals 1 if at least one lawsuit has been filed against firm *i* in the last three years, and 0 otherwise (Aharony et al., 2015; Autore et al., 2014). In Columns (1)–(3) of Table 9, the coefficients of *PC_Dummy***LAWSUIT* are all significant and negative. In Column (4), the coefficient of the interaction term is significantly positive. These findings provide evidence that firms facing higher litigation risk prompt auditors to disclose more non-boilerplate KAMs.

6.3. Audit firm characteristic

Disparities in KAMs unveiled by distinct auditor firms have been explored in previous research (Duboisée de Ricquebourg and Maroun, 2023). Typically, the Big 4 audit firms are renowned for providing superior quality audit reports compared to their smaller peers and possess a higher standing (Francis et al., 2013; Nguyen et al., 2020). They are more motivated to reduce the risk of being held accountable for protecting their excellent reputation. Thus, for M&As with PCs, auditors from these audit firms may provide less boilerplate information in M&A-related KAMs to enrich idiosyncratic information in the statements. To examine this hypothesis empirically, we include *PC_Dummy***BIG4* in model (4) and present the results in Panel A of Table 10. The coefficients of *PC_Dummy***BIG4* are significantly negative when testing text similarity. When testing text specificity, the coefficient of *PC_Dummy***BIG4* is 1.094 and significant at the 5 % level. The results suggest that Big 4 auditors disclose M&A-related KAMs with low text similarity and high text specificity.

6.4. Auditor characteristic

Auditors' characteristics also affect audit outcomes (Sierra-García et al., 2019; Tong et al., 2022). We utilise the characteristics of the signatory auditors to explore the impact of the relationship between PCs and the boilerplate level of the M&A-related KAMs (Lennox and Wu, 2017). Abdelfattah et al. (2021) show that female auditors disclose different information in KAMs from their male counterparts. Specifically, since female auditors are more risk-sensitive than male peers (Nekhili et al., 2018) and would make more effort during the audit process (Ittonen et al., 2013), females are more likely to disclose more detailed information in KAMs (Abdelfattah et al., 2021). We argue that female auditors disclose M&A-related KAMs containing more non-boilerplate information for M&As with PCs than their male counterparts. To empirically test this assumption, we construct a new variable, *WOMAN*, which equals 1 if there is at least one woman in the signatory auditor team and 0 otherwise. We add *PC_Dummy***WOMAN* and *WOMAN* in the model (4), and the results are presented in Panel B of Table 10. In Columns (1)–(3), the coefficients of *PC_Dummy***WOMAN* are negative and significant (at the 10 % level or better), which implies that female auditors disclose less similar information. In Column (4), the coefficient of *PC_Dummy***WOMAN* is 0.395 and significant at the 10 % level, which indicates that female auditors disclose more specific information for M&As with PCs in M&A-related KAMs. Overall, the findings confirm that female auditors disclose more non-boilerplate information for M&As with PCs than their male counterparts.

Table 9

The effect of litigation risk on M&As with PCs and the boilerplate level of M&A-related KAMs.

Variables	(1) <i>SIM_t</i>	(2) <i>SIM_{t-1}</i>	(3) <i>SIM_{t-2}</i>	(4) <i>SPE</i>
<i>PC_Dummy</i> * <i>LAWSUIT</i>	−0.038** (−1.99)	−0.062* (−1.71)	−0.065* (−1.83)	1.268*** (3.19)
<i>PC_Dummy</i>	−0.023*** (−4.34)	−0.024** (−2.13)	−0.057*** (−4.15)	0.270*** (2.83)
<i>LAWSUIT</i>	−0.033*** (−3.26)	−0.085*** (−4.07)	−0.071*** (−3.22)	0.308 (1.45)
Controls	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes
Constant	0.244*** (2.99)	−0.105 (−0.66)	−0.479** (−2.51)	4.126*** (2.70)
<i>N</i>	1,359	977	654	1,359
<i>R</i> ²	0.276	0.134	0.203	0.096
<i>F</i>	6.46***	6.78***	9.83***	3.15***

Note: The table presents the results of the moderating effect of litigation risk on M&As with PCs and the boilerplate level of M&A-related KAMs. The t-statistics given in parentheses are computed using standard errors adjusted for firm clustering. All continuous variables are winsorized at the 1st and 99th percentiles. *, **, and *** represent statistical significance at the 1%, 5%, and 10% levels, respectively. All variables are defined in Appendix A.

Table 10

The effects of audit firm and auditor characteristics on M&As with PCs and the boilerplate level of M&A-related KAMs.

Panel A The effect of Big 4 on M&As with PCs and the boilerplate level of M&A-related KAMs				
Variables	(1)	(2)	(3)	(4)
	SIM_t	SIM_{t-1}	SIM_{t-2}	SPE
<i>PC_Dummy*BIG4</i>	−0.049* (−1.81)	−0.079** (−2.20)	−0.074* (−1.90)	1.094** (2.17)
<i>PC_Dummy</i>	−0.026*** (−4.87)	−0.033*** (−2.98)	−0.068*** (−4.97)	0.319*** (3.23)
<i>BIG4</i>	−0.066*** (−4.93)	−0.060*** (−2.75)	−0.125*** (−5.41)	0.187 (0.82)
<i>Controls</i>	Yes	Yes	Yes	Yes
<i>Year FE</i>	Yes	Yes	Yes	Yes
<i>Industry FE</i>	Yes	Yes	Yes	Yes
<i>Constant</i>	0.220*** (2.72)	−0.178 (−1.09)	−0.576*** (−2.92)	4.440*** (2.92)
<i>N</i>	1,359	977	654	1,359
<i>R²</i>	0.264	0.105	0.174	0.083
<i>F</i>	6.14***	4.39***	6.20***	3.02***
Panel B The effect of women auditors on M&As with PCs and the boilerplate level of M&A-related KAMs				
Variables	(1)	(2)	(3)	(4)
	SIM_t	SIM_{t-1}	SIM_{t-2}	SPE
<i>PC_Dummy*WOMAN</i>	−0.024** (−2.39)	−0.042* (−1.72)	−0.049* (−1.82)	0.395* (1.90)
<i>PC_Dummy</i>	−0.023*** (−4.40)	−0.032*** (−2.83)	−0.065*** (−4.65)	0.272*** (2.77)
<i>WOMAN</i>	−0.011** (−2.04)	0.004 (0.38)	−0.002 (−0.12)	0.051 (0.47)
<i>Controls</i>	Yes	Yes	Yes	Yes
<i>Year FE</i>	Yes	Yes	Yes	Yes
<i>Industry FE</i>	Yes	Yes	Yes	Yes
<i>Constant</i>	0.217*** (2.67)	−0.109 (−0.66)	−0.503** (−2.52)	4.590*** (3.00)
<i>N</i>	1,344	965	642	1,344
<i>R²</i>	0.272	0.105	0.172	0.082
<i>F</i>	6.51***	4.05***	5.99***	2.69***

Note: Panel A and Panel B present the results of the moderating effects of Big4 and women auditors, respectively, on M&As with PCs and the boilerplate level of M&A-related KAMs. The t-statistics given in parentheses are computed using standard errors adjusted for firm clustering. All continuous variables are winsorized at the 1st and 99th percentiles. *, **, and *** represent statistical significance at the 1%, 5%, and 10% levels, respectively. All variables are defined in [Appendix A](#).

6.5. Reactions from other recipients of audit reports

The potential rationale behind the communicative value of non-boilerplate KAMs is that they offer helpful information to the recipients of financial reports. Extended audit reports with incremental information can assist in mitigating information asymmetry between companies and stakeholders ([Bepari et al., 2022](#); [Hoang et al., 2023](#); [Kong et al., 2022](#); [Liu et al., 2022](#)), thereby benefiting users of audit reports. Next, we explore the impact of non-boilerplate KAMs on other report users through changes in analyst following and institutional investor holdings.

KAMs communicate useful information to the public and alleviate information asymmetry between investors and stakeholders, which can reduce the cost of M&A information acquisition for analysts and institutional investors ([Kong et al., 2022](#)). To explore these conjectures, we establish the following regression model:

$$USER = \beta_0 + \beta_1 TEXT + \sum \beta Controls + YearFE + IndustryFE + \varepsilon \quad (6)$$

where *USER* has two proxy variables, changes in analyst following ($\Delta Analyst$), and changes in institutional ownership (ΔISH). Following prior literature ([Farber et al., 2016](#); [Kong et al., 2022](#); [Lu and Abeysekera, 2021](#); [Menon and Williams, 2010](#)), *Controls* include *SIZE*, *LEV*, *GROWTH*, *ROA*, *DUALITY*, *INDEP*. We also control for year and industry fixed effects and cluster standard errors by firm. Definitions of all variables are provided in [Appendix A](#).

6.5.1. Analysts

M&A is one of the most significant investment activities attracting the attention of financial analysts. Due to limited access to M&A information from private sources, analysts may not rashly issue analysis reports for M&As with PCs. More firm-specific information disclosure can mitigate information asymmetry ([Hilary, 2006](#)) and reduces information acquisition costs for analysts and institutional

investors (Lang and Lundholm, 1996). Research indicates a significant increase in analysts following the disclosure of firm-specific information (Healy and Palepu, 2001). As professionals who interpret public details on capital markets, analysts also use KAMs (Kong et al., 2022). It is reasonable to assume that the important M&A information disclosed by auditors through KAMs, of which analysts were previously unaware, can help alleviate information asymmetry and increase analyst following (Lu and Abeysekera, 2021).

To explore the assumption, we run model (6) using the dependent variable $\Delta Analyst$, which is the proxy for changes in analyst following. The results are shown in Panel A of Table 11. When testing the relationship between textual similarity and changes in analyst following, the coefficients on SIM_t , SIM_{t-1} , and SIM_{t-2} are -0.737 ($p < 0.05$), -0.460 ($p < 0.05$), and -0.382 ($p < 0.10$), respectively, suggesting that M&A-related KAMs with lower text similarity significantly increase analyst following. In Column (4), the coefficient on SPE is 0.056 and significant at the 1 % level, indicating that KAMs with higher specificity attract more analysts.

6.5.2. Institutional investors

High-quality information disclosure can further assuage the information asymmetry between firms and institutional investors, and if such disclosure effectively reduces information acquisition costs, institutional investors may be drawn to these firms (Healy et al., 1999). Unlike individual investors, institutional investors are sophisticated and possess advanced interpretive skills that enable them to process public information and identify profitable opportunities. Therefore, non-boilerplate M&A-related KAMs can alleviate the asymmetry of M&A-related information between the company and institutional investors. Firms whose auditors disclose more valuable KAMs tend to attract more institutional investors.

To explore the effect of non-boilerplate M&A-related KAMs on institutional investors, we re-run model (6) by replacing the

Table 11
Reactions from other report users to non-boilerplate KAMs.

Panel A: Changes in analyst following				
Variables	(1)	(2)	(3)	(4)
	$\Delta Analyst$	$\Delta Analyst$	$\Delta Analyst$	$\Delta Analyst$
SIM_t	-0.737^{**} (-2.03)			
SIM_{t-1}		-0.460^{**} (-2.35)		
SIM_{t-2}			-0.382^* (-1.67)	
SPE				0.056^{***} (2.96)
Controls	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes
Constant	-4.099^{***} (-5.54)	-5.113^{***} (-6.14)	-5.263^{***} (-5.35)	-4.490^{***} (-6.16)
N	1,243	902	601	1,243
R^2	0.090	0.112	0.137	0.093
F	9.46^{***}	9.40^{***}	6.84^{***}	10.87^{***}
Panel B: Changes in institutional investor holdings				
Variables	(1)	(2)	(3)	(4)
	ΔISH	ΔISH	ΔISH	ΔISH
SIM_t	-0.019^* (-1.68)			
SIM_{t-1}		-0.014^{**} (-2.11)		
SIM_{t-2}			-0.018^{**} (-2.15)	
SPE				0.002^{***} (2.85)
Controls	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes
Constant	0.047^{**} (2.07)	0.039 (1.64)	0.073^{**} (2.54)	0.036^* (1.65)
N	1,290	913	603	1,290
R^2	0.026	0.036	0.047	0.030
F	1.19^*	1.77^*	2.16^{**}	1.93^*

Note: This table presents the results of the impact of non-boilerplate KAMs on the changes in analyst following (Panel A) and changes in institutional investor holdings (Panel B). The t-statistics given in parentheses are computed using standard errors adjusted for firm clustering. All continuous variables are winsorized at the 1st and 99th percentiles. *, **, and *** represent statistical significance at the 1%, 5%, and 10% levels, respectively. All variables are defined in Appendix A.

dependent variable *USER* with ΔISH , which is a proxy for change in institutional ownership (Menon and Williams, 2010). The regression results are reported in Panel B of Table 11. The coefficients on SIM_t , SIM_{t-1} , and SIM_{t-2} are significantly negative, and the coefficient on *SPE* is 0.002 and significant at the 1 % level. The findings suggest that KAMs with lower text similarity and higher specificity is significantly and positively associated with institutional investor's shareholding.

In summary, we provide evidence that non-boilerplate M&A-related KAMs provide incremental information for recipients of audit reports, which can alleviate the information asymmetry. These KAMs attract more analysts to follow and increase institutional investors' shareholdings, which further supports that non-boilerplate KAMs have communicative value.

7. Discussion and conclusions

The recent implementation of a new auditing standard requires auditors to communicate KAMs in order to enhance the communicative value of audit reports (IAASB, 2015; MFPRC, 2016; PCAOB, 2017). However, the effectiveness of KAMs remains debated (Minutti-Meza, 2021). Unlike the existing literature that treats KAMs as given variables (Gutierrez et al., 2018; Klevak et al., 2023; Lennox et al., 2023; Reid et al., 2019), this study analyses the communicative value of KAMs by examining whether the risks of firm-specific economic activities are revealed through changes in the content and form of KAMs, and how the market reacts to these disclosures. We find that auditors disclose more non-boilerplate M&A-related KAMs for M&As with PCs compared to those without PCs. Moreover, investors react more strongly to the information communicated by these KAMs in the market.

Our findings indicate that KAMs help users of audit reports identify critical financial reporting risks by incorporating non-boilerplate language. It is crucial to acknowledge that KAM disclosure is inherently linked to the auditor's judgment (Bepari et al., 2022; Duboisée de Ricquebourg and Maroun, 2023; Sierra-García et al., 2019), implying that its communicative value can vary considerably across auditing firms and individual characteristics of auditors. In addition, auditors tend to disclose KAMs with high communicative value for audited firms exposed to significant litigation risk.

Although our study focuses on a single jurisdiction, China stands as one of the pioneering countries in mandating KAM disclosures for listed companies. As such, our findings may have implications for other developing economies that are currently considering the application of KAMs. In the future, research into the effects of KAM implementation across different regulatory, legal, and market environments could be conducted to enhance international understanding of audit practices. This would aid regulators in evaluating the full range of benefits, costs, and potential unintended consequences of KAMs (PCAOB, 2022).

This study is subject to certain limitations that should be acknowledged. First, we focused exclusively on M&A-related KAMs, which rank among the top five KAMs in various jurisdictions, such as the US (Burke et al., 2023), Australia (Kend and Nguyen, 2022), South Africa (Duboisée de Ricquebourg and Maroun, 2023), and Oman (Al Lawati and Hussainey, 2022). Future research could explore the different risk factors influencing the disclosure of various KAM categories and examine how market reactions differ across these KAMs. Second, to further explore the factors that affect the boilerplate nature of KAMs, future research could employ other analytical methods such as interviews, surveys and large language models.

Declaration of competing interest

The authors declare that they have no known competing financial interests or personal relationships that could have appeared to influence the work reported in this paper.

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Appendix A. Variable definition.

Variable	Definitions
<i>PC_Dummy</i>	Dummy variable equals 1 if the firm signs a PC in an M&A, and 0 otherwise.
<i>KAM_Dummy</i>	Dummy variable equals 1 if the auditor discloses the M&A-related KAM, and 0 otherwise.
<i>KAM_Num</i>	The number of M&A-related KAM.
<i>KAM_Ratio</i>	The proportion of M&A-related KAM to the total number of KAM.
<i>SIM_t</i>	Textual similarity of an M&A-related KAM of firm <i>i</i> in year <i>t</i> to all M&A-related KAMs of other firms in that year. This value is measured by the average of the audit description text similarity and the audit procedure text similarity.
<i>SIM_{t-1}</i>	The mean value of text similarity between the M&A-related KAMs of firm <i>i</i> in year <i>t</i> and each KAM in the audited financial report of that firm in year <i>t-1</i> . This value is measured by the average of the textual similarity of audit descriptions and the textual similarity of audit procedures.
<i>SIM_{t-2}</i>	The mean value of text similarity between the M&A-related KAMs of firm <i>i</i> in year <i>t</i> and each KAM in the audited financial report of that firm in year <i>t-2</i> . This value is measured by the average of the textual similarity of audit descriptions and the textual similarity of audit procedures.

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Variable	Definitions
<i>SPE</i>	Firm-level specificity is measured by the number of organisation names divided by the total number of words. To make the regression coefficients more readable, we multiplied this variable by 100 when running the regression.
<i>ABCAR</i>	The absolute value of the cumulative abnormal return in the period around the release date of the audit report. <i>ABCAR</i> is calculated based on a market model over an event window of [-3, 3], and the [-120, -21] window prior to each event date is used as the estimation period.
<i>AVOL</i>	Abnormal trading volume is the average of the firm's trading volume minus the market's trading volume during the event window. Trading volume is the daily volume in the event window and is scaled by shares outstanding. The event window is the seven-days window [-3, 3] around the release of the audit report.
<i>SYNC</i>	Stock price synchronicity, which is calculated as $\ln(R^2/(1-R^2))$. R^2 is the regression goodness-of-fit for stock return comovement. We capture <i>SYNC</i> using the following regression specification: $R_{it} = \beta_0 + \beta_1 R_{mt} + \varepsilon_{it}$, where R_{it} and R_{mt} represent the (average) stock return of firm i and its overall market on day t . The estimation window is 90 days after the release of the audit report.
<i>SIZE</i>	The natural logarithm of total assets.
<i>LEV</i>	Total debt divided by total assets.
<i>GROWTH</i>	The growth in operating revenue for firm i in year t divided by total operating revenue for firm i in year $t-1$.
<i>MB</i>	The net asset value divided by the market capitalisation.
<i>TOP</i>	The proportion of shares held by the largest shareholder to the total number of shares.
<i>MSR</i>	The proportion of shares held by management to the total number of shares.
<i>ROA</i>	The ratio of net income to total assets.
<i>DA</i>	Discretionary accruals, estimated from the performance-matched Jones model.
<i>LOSS</i>	Dummy variable equals 1 if the firm's net profit is negative, and 0 otherwise.
<i>SOE</i>	Dummy variable equals 1 if the firm is a state-owned, and 0 otherwise.
<i>FEE</i>	The natural logarithm of audit fees.
<i>BIG4</i>	Dummy variable equals 1 if the firm is audited by a Big 4 auditor, and 0 otherwise.
<i>OPINION</i>	Dummy variable equals 1 if the firm receives an unqualified audit opinion.
<i>DELAY</i>	The number of days between the date of the audit report and the date of the firm's financial statements.
<i>LnMV</i>	The natural logarithm of market value at fiscal year-end.
<i>ΔEPS</i>	Change in basic EPS over the year.
<i>BETA</i>	Slope coefficient of the regression of weekly stock returns on equally weighted market returns.
<i>PEER</i>	Following Leary and Roberts (2014) and Seo (2021), the <i>PEER</i> was calculated as follows: $PEER_{-ijt-1} = \frac{\sum PC_{-ijt-1}}{N-n}$ where $Peer_{-ijt-1}$ is the average value of the number of PC signed by other firms in industry j in which firm i is located in year $t-1$. N is the total number of PC signed in industry j in year $t-1$, n is the number of PC signed by firm i in year $t-1$. $\sum PC_{-ijt-1}$ is the total number of other firms in industry j in which firm i is located that does not include firm i that have signed PC in year $t-1$.
<i>RELEVANCE</i>	Dummy variable equals 1 if the acquisition is an affiliated M&A, and 0 otherwise.
<i>MAJOR</i>	Dummy variable equals 1 if the acquisition is a major asset reorganization event, and 0 otherwise.
<i>PAYCASH</i>	Dummy variable equals 1 if the acquisition payment method includes cash, and 0 otherwise.
<i>PC_Num</i>	The number of M&A events involving PC.
<i>PC_Ratio</i>	The proportion of PC-involved M&A events to the total number of M&A events.
<i>LVD</i>	Levenshtein Distance at firm level. The calculation formula is as follows: $SIM_LVD_{ab} = 1 - \frac{Editing\ steps(a,b)}{Max(length(a), length(b))}$ where <i>Editing steps</i> (a, b) indicates the editing steps between text a and text b . Editing steps include adding, deleting, or replacing characters. <i>Max</i> ($length(a), length(b)$) is the length of the longest text in text (a) or text (b). The value of <i>LVD</i> ranges from 0 to 1. A higher value indicates that the auditor discloses more boilerplate information in the KAM. LVD_t is the edit distance of all M&A-related KAMs in the year of computation, and LVD_{t-1} and LVD_{t-2} are the edit distances of firm i 's M&A-related KAMs compared to the KAMs in years $t-1$ and $t-2$, respectively.
<i>SPE1</i>	The number of organisation names in the audit description and the audit procedure.
<i>ABCAR1</i>	The absolute value of the cumulative abnormal return in the period around the date of filing the annual report. <i>ABCAR1</i> is calculated as follows: $\sum_{t-1}^T (R_{it} - R_{mt})$, where R_{it} is the daily stock return adjusted by cash dividends and R_{mt} is the daily market return weighted by firm value.
<i>AVOL1</i>	Event window T is the seven-days window [-3, 3] around the release of the audit report.
<i>AVOL1</i>	The event window is the three-days window [-1, 1].
<i>SYNC1</i>	Stock price synchronicity, which is calculated as $\ln(R^2/(1-R^2))$. R^2 is the regression goodness-of-fit for stock return comovement. We capture <i>SYNC1</i> using the following regression specification: $R_{it} = \beta_0 + \beta_1 R_{mt} + \beta_1 R_{indt} + \varepsilon_{it}$ where R_{it} , R_{mt} , and R_{indt} represent the (average) stock return of firm i , its overall market, and its industry on day t , respectively. The estimation window is 90 days after the release of the audit report.
<i>LAWSUIT</i>	Dummy variable equals 1 when at least one lawsuit has been filed against the firm in the last three years, and 0 otherwise.
<i>WOMAN</i>	Dummy variable equals 1 if there is a woman in the signatory auditor team, and 0 otherwise.
<i>ΔAnalyst</i>	The difference between the numbers of analysts following in the quarter after the publication of the audit report and the numbers of analysts following in the previous quarter. We standardised this variable with a mean of 0 standard deviation of 1.
<i>ΔISH</i>	The difference in the proportion of shares held by institutional investors between the quarter after the audit report disclosure and the quarter before.
<i>DUALITY</i>	Dummy variable equals 1 if the CEO is also the chairman of the board and, 0 otherwise.
<i>INDEP</i>	The proportion of independent directors on the board.

Appendix B.: Examples of auditors' disclosures of the M&A-related KAMs

Panel A M&A without PC (Hualian Hypermarket Co.Ltd. 600361) VS M&A with PC (GuangZhou BaiYun Electric Equipment Co., Ltd. 603861)

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Category	Year of M&A Completion	Annual Report	KAM Topic	KAM Description	KAM Audit Procedure
M&A without PC	2018	2018 Annual Report	Enterprise merger	Related disclosures are detailed in Note 5 and Note 8 to the financial statements. The acquisition of the equity interest in Beijing Baihaoji Community Department Store Co., Ltd. by Hualian involved a non-same control enterprise merger. The acquisition of equity interest in Jiangsu Zijin Hualian Commercial Facilities Operation Co., Ltd. by Hualian involved an enterprise merger under the same control. We consider enterprise mergers as a key audit matter because of the complexity of accounting for them and the management judgment involved.	The main procedures we performed for this matter included: (1) Understood the effectiveness of the design and operation of management's internal controls over equity acquisition matters; (2) Obtained relevant information such as equity transfer agreements and board resolutions, and assessed the accuracy of management's judgment on the type of business combination; (3) Reviewed the accuracy of the calculation of the management consolidation process for business combinations under common control; (4) For non-same control enterprise merger, evaluated the accuracy of management's determination of the purchase date, discussed with management the process for identifying intangible assets and other identifiable assets and liabilities in the enterprise merger, and reviewed the reasonableness of management's apportionment of the merger consideration and the accuracy of the recognition of the initial amount of goodwill; (5) Concerned about the accuracy of management's disclosures about business combinations.
M&A with PC	2018	2018 Annual Report	Enterprise merger: Accounting for the acquisition of equity interest in Guilin Power Capacitor Co., Ltd.	As shown in "VI. Changes in the scope of consolidation" in the notes to the financial statements. Baiyun Electric purchased 51 % equity interest in Guilin Power Capacitor Co., Ltd.(hereinafter referred to as "Guilin Capacitor") held by Baiyun Electric Group Company Limited by way of issuing shares during the year. Purchased a total of 29.38 % equity interest in Guilin Capacitor held by 17 asset management companies by paying cash. After the completion of the acquisition, Baiyun Electric holds a total of 80.38 % equity interest in Guilin Capacitor, and Guilin Capacitor becomes a controlling subsidiary of Baiyun Electric. On February 7, 2018, the China Securities Regulatory Commission issued SEC License [2018] No. 291, approving the issuance of 33,640,648 shares of Baiyun Electric to Baiyun Electric Group Co. to purchase related assets. The issue price was determined to be RMB18.35 per share. The transaction in which shares were issued to acquire 51 % of Guilin Capacitor was a business combination under the same	In connection with this major asset restructuring, we performed (but were not limited to) the following audit procedures: (1) Communicated with the management of Baiyun Electric and other intermediaries to gain an in-depth understanding of the specific transaction situation of the major asset restructuring; (2) Obtained and reviewed the relevant transaction agreements and other documents, and compared them with the relevant information disclosure of Baiyun Electric to check whether the relevant procedures meet the requirements of relevant laws and regulations; (3) Checked the payment vouchers of Baiyun Electric for the purchase of shares, checked with the transaction agreement, evaluation report, and relevant announcements, and confirmed that the payment amount is consistent with such information. (4) Obtained the 2017 annual audit report of Guilin Capacitor and checked it with the financial data, Baiyun Electric's announcement, and financial statement notes.

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	control. The merger date is January 31, 2018. On February 12, 2018, the Administration for Industry and Commerce of Guilin National Hi-Tech Industrial Development Zone issued a Notice of Granted Change of Registration, and 80.38 % of Guilin Capacitor was transferred to Baiyun Electric. This major asset reorganization significantly impacts the business structure, current profit and loss, total assets, and net assets of Baiyun Electric. Therefore, we consider this matter to be a key audit matter.	(5) Reviewed the calculation of the capital premium for the purchase of equity. (6) Combining the stipulations in the contract or agreement and other relevant influencing factors, according to the principle of substance over form, it is judged whether the management's determination of the merger date conforms to the "Accounting Standards for Business Enterprises No. 20 – Business Combination" and its relevant regulations. (7) Reviewed the accounting treatment process of Baiyun Electric's reorganization and the re-compiling of the comparative financial statements of the previous period, and judged whether its accounting treatment and comparative financial statements conform to the "Accounting Standards for Business Enterprises No. 20 – Business Combination" and its relevant regulations.
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Panel B Specific performance commitment associated with the M&A case of GuangZhou Baiyun Electric Equipment Co., Ltd. (603861)

Performance Commitment Specific	Performance Commitment Compensation Clause
BaiYun Electric Group agreed to commit to the audited net profit after tax of the target firm for the years 2017, 2018 and 2019, and in this regard, to bear the compensation liability in the event that the performance fails to reach the committed amount. The net profit of the target firm for each year of the performance commitment period shall be determined by the Company and BaiYun Electric Group on the basis of the net profit (net of non-recurring gains and losses) of the target firm for the same period in 2017, 2018 and 2019 as forecasted in the valuation report, i.e. the audited net profit of the target firm for 2017 shall not be less than RMB 78,259,100; the audited net profit for 2018 shall not be less than RMB 110,871,100; and the audited net profit of 2019 is not less than RMB 139,277,000. If this transaction is not completed before 31 December 2017, the performance commitment period of BaiYun Electric Group will be extended to 2020, and the target firm is committed to achieve a net profit of not less than RMB 178,771,800 in 2020 after deducting non-recurring gains and losses.	BaiYun Electric Group undertakes that the actual net profit of the target firm at the end of any year in the performance commitment period is greater than or equal to the net profit of the year, then BaiYun Electric Group does not need to compensate GuangZhou BaiYun Electric in that year, and the portion of the net profit that exceeds the net profit of the commitment can be used to make up for the difference in the subsequent years of the performance commitment period, when the actual net profit of the year fails to reach the net profit of the commitment. If the cumulative actual net profit of the target firm at the end of any year of the performance commitment period is less than the cumulative net profit of the year, BaiYun Electric Group shall compensate the listed company in the following manner: The number of shares to be compensated for that year = (the cumulative net profit of the commitment as at the end of the period – the cumulative number of net profits realised as at the end of the period) ÷ the cumulative total number of net profits of the commitment period × (the transaction price of the subject assets ÷ the price of the issue) – the number of shares that have been compensated – the amount of cash that have been compensated ÷ the issue price. If the shares acquired by BaiYun Electric Group from the transaction are insufficient for compensation, the difference of the insufficient shares shall be compensated by BaiYun Electric Group in cash. The calculation of the cash compensation amount is as follows: Cash compensation amount for the shortfall of shares = (the number of shares to be compensated for the year – the number of BaiYun Electric Group's remaining shares that can be used to compensate for GuangZhou BaiYun Electric) × the issue price. If the result of the above calculation is less than 0, the value will be taken as 0. After the expiry of the above performance commitment period, GuangZhou BaiYun Electric hires an accounting firm qualified in securities business to carry out an impairment test on the subject assets and issue an "Impairment Test Report", and if the end-of-period impairment amount of 80.380 % of the target firm's equity > the total number of shares compensated for during the performance commitment period × the issue price of the current issue + the total amount of cash compensated for during the performance commitment period, then BaiYun Electric Group is required to compensate GuangZhou BaiYun Electric separately. Amount to be compensated = Impairment of 80.380 % of the target firm's equity at the end of the period – Compensation paid during the performance commitment period when the actual net profit fails to reach the promised net profit. The aforementioned end-of-period impairment amount of the subject assets is the transaction price of the subject assets of the transaction minus the appraised value of the subject assets at the end of the performance commitment period (assuming that the subject assets have not been affected by the shareholders' capital increase, capital reduction, acceptance of gifts and profit distribution during the period from the delivery date to the base date of the impairment test). When compensating for the impairment test, the amount to be compensated shall first be compensated by BaiYun Electric Group in shares. Number of shares to be compensated = Amount to be compensated ÷ Issue price. If the remaining shares of BaiYun Electric Group are insufficient for compensation, the difference of the insufficient shares shall be compensated by BaiYun Electric Group in cash. The amount of cash compensation for the shortfall in shares = the amount to be compensated – the number of BaiYun Electric Group's remaining GuangZhou BaiYun Electric shares × the issue price. The total amount of performance compensation and impairment test compensation to be paid by BaiYun Electric Group to the listed company shall not exceed the transaction price of the subject assets of the transaction, i.e., RMB 972,929,582.

Appendix C

Table A
Distribution of KAM types.

KAM typology	2017	2018	2019	2020	2021	2022	Total	%
Revenue recognition	2,324	2,530	2,855	3,290	3,783	3,987	18,769	37.61 %
Financial instruments	1,433	1,528	1,591	1,754	1,994	2,366	10,666	21.37 %
M&A-related issues	1,033	1,172	1,089	993	864	890	6,041	12.10 %
Inventory	738	756	786	798	929	994	5,001	10.02 %
Non-financial assets	431	390	385	366	659	664	2,895	5.80 %
Related-party transactions	137	123	111	99	60	64	594	1.19 %
Research and development expenditure	64	72	76	72	76	93	453	0.91 %
Taxes	82	66	71	84	70	97	470	0.94 %
Structured entities	103	67	70	48	38	42	368	0.74 %
Government grants	78	45	46	31	23	10	233	0.47 %
Lawsuits	44	38	34	30	15	16	177	0.35 %
Other issues	790	669	678	655	743	703	4,238	8.49 %
Total	7,257	7,456	7,792	8,220	9,254	9,926	49,905	100.00 %

Note: This table shows the distribution of KAM types. To provide a direct and precise distribution, the data presented in this table are not filtered or deleted. Thus, the observations in this table are larger than those participating in the regression.

Appendix D

Note 1: We first use Python to select KAMs that contain M&A-related words in the audit description and audit procedures, and the filtered terms include: “商誉”、“并购”、“收购”、“购买”、“同一控制”、“非同一控制”、“重大资产重组”、“合并”、“业绩补偿”、“业绩承诺”、“对赌”等. Then, we manually read the extracted text and determine if the KAMs are related to M&A. For listed companies with multiple M&A-related KAMs in a year, we calculate the text feature values separately and then take the arithmetic mean as the text feature for the corresponding year of the company.

Note 2: The TF-IDF is calculated as follows:

$$TF-IDF = TF_{ij} \times IDF_j \quad (7)$$

$$TF_{ij} = \frac{t_j}{d_i}, \quad (8)$$

where t_j is the total number of occurrences of word j in document i and d_i is the total number of words in document i .

$$IDF_i = \log\left(\frac{N}{n_j + 1}\right), \quad (9)$$

where N is the total number of documents and n_j is the number of documents that contain the word j .

Data availability

Data will be made available on request.

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